

The Rise and Fall of the Capitalist World-System (I): The Three Stages in the Evolution of the Mode of Production of the Capitalist World-System

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The struggles between "national" states are nothing but the struggles between the bourgeois groups of these states. This struggle is not suspended in mid-air; this great conflict must not be regarded as a collision of two bodies in a vacuum. On the contrary, it is determined by the special environment in which the "national economic organisms" live and develop. But the "national economic organism" has long ceased to be a self-contained unit, not the "isolated economy" of which Fichte or Thünen spoke. Quite the contrary: they are but parts of a far wider field — the world economy. Just as each enterprise is a part of the "national" economy, so each "national economy" is embraced in the world economic system. Hence the struggles between modern "national economic organisms" must first of all be regarded as the struggles between the competing parts of the world economy — just as we regard the struggles between enterprises as a general phenomenon of social economic life. Therefore, to study the question of imperialism, its economic features and its future, is in the final analysis to analyse the trends of development of the world economy, to analyse the changes possible in the internal structure of the world economy. — Bukharin, *Imperialism and World Economy* (1917)

The world market or world economy of which Bukharin speaks, given a certain structure, is the so-called world-system. Capitalism has been worldwide from the very beginning; there is no isolated national capitalism wholly outside the world-system. The capitalist world-system is born with capitalism and will die with it (in the future). Books on world-system research are many; in this article I do not attempt to advance any novel thesis, but only, in the light of some new phenomena, to make a brief analysis of the three stages of the historical development of the capitalist world-system. In each stage of the world-system's development, we focus on the mechanism of surplus accumulation and the relations between the different types of states.

This article is planned in four parts.

Part One: a brief historical account of the three stages of the evolution of the capitalist world-system.

Part Two: an in-depth analysis of the internal structure of the transnational industrial capitalist stage in which we now live (The Rise and Fall of the Capitalist World-System (II)).

Part Three: a discussion of the internal contradictions of the three stages of capitalism and the motive forces of its evolution (The Rise and Fall of the Capitalist World-System (III): An Analysis of the

Contradictions of the Three Stages of the World-System).

Part Four: an exploration of the way the capitalist world-system evolves into a socialist world-system.

I. The Three Stages in the Evolution of the Mode of Production of the Capitalist World-System

1. The Commercial Capitalist Stage

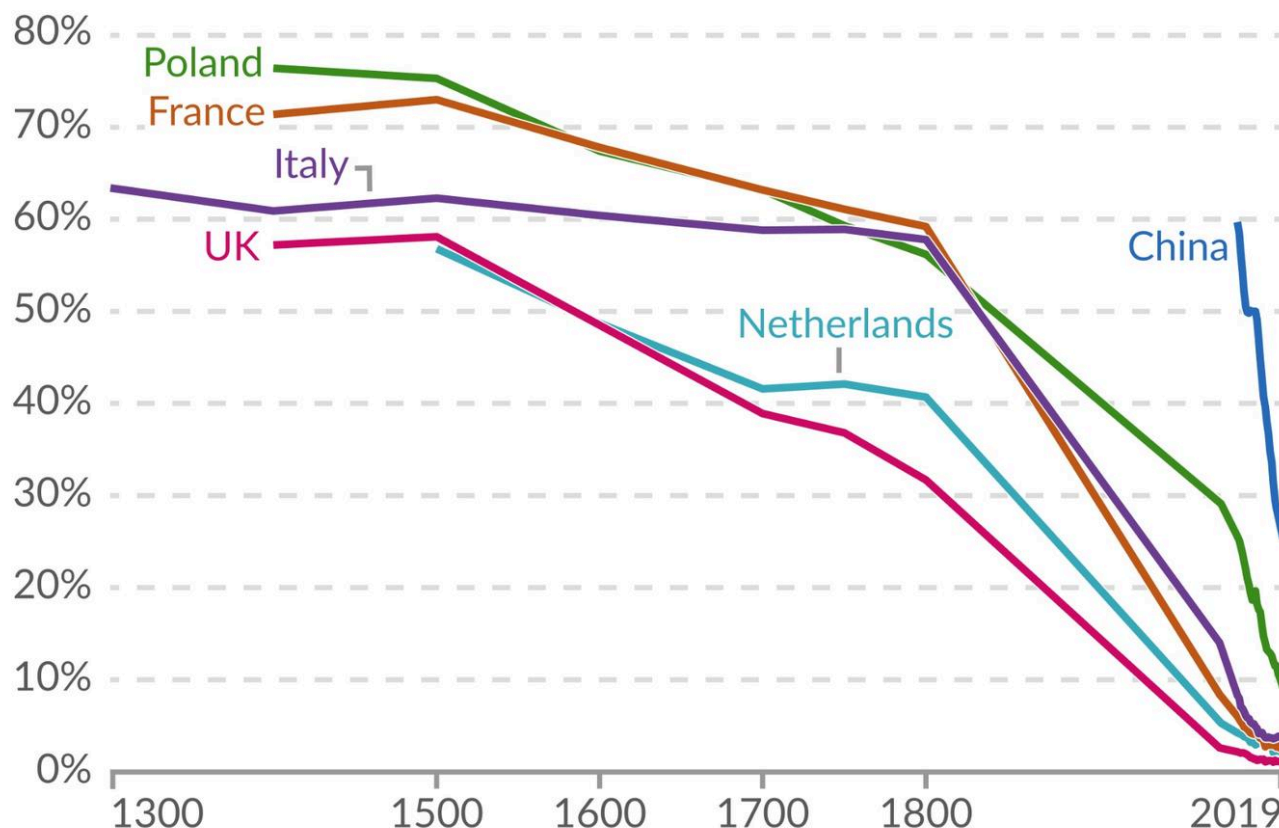
The first world-system of capitalism was commercial capitalism. In this world-system, the accumulation of surplus value took place mainly between the various pre-capitalist economies; the direct exploitation of the working class in the production process was not the principal mode of accumulation.

Before 1800, in Western Europe — the world's most economically developed region — the overwhelming majority of the labour force, except in England and Holland, were peasants. Yet this early industrialisation and urbanisation cannot yet be called capitalism. In fact, in the other economically developed region of the world of that time — China's Jiangnan (the Lower Yangtze) — the level of urbanisation and industrialisation was no lower than that of Holland, the most advanced region of Western Europe. Using the system of historical national accounting, Li Bozhong compared China's most developed region, Jiangnan, with Holland, proving that in the early nineteenth century the degree of industrialisation of Jiangnan was already higher than Holland's^[1]. Pre-Opium-War Jiangnan could at most be called a commercial society, or a commodity economy based mainly on small production — not a capitalist society. In such a society, the principal forms of capital were commercial capital and usurer's capital.

Share of the labor force employed in agriculture

Our World
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Agriculture includes crop and livestock production, forestry, hunting, and fishing.



Data source: ILO; Broadberry & Gardner; Herrendorf et al.

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Source: <https://ourworldindata.org/data-insights/in-the-past-most-people-worked-in-agriculture-in-todays-rich-countries-only-a-small-share-do>

After the Age of Discovery, the West European countries established colonies in America, Africa, and Asia. But the institutions they imposed in the colonies were not capitalist. In the Americas, where the native population had been destroyed on a massive scale, they on the one hand moved peasants over as smallholders or tenants, and on the other established plantations and gold and silver mines based on slave production.

In the sixteenth century, West European merchants plied between the colonies, America, and Asia, engaging in trade that drew the economies of the whole world into a unified world market. This was

the first capitalist globalisation; commerce and trade were the most important means by which the bourgeoisie accumulated capital.



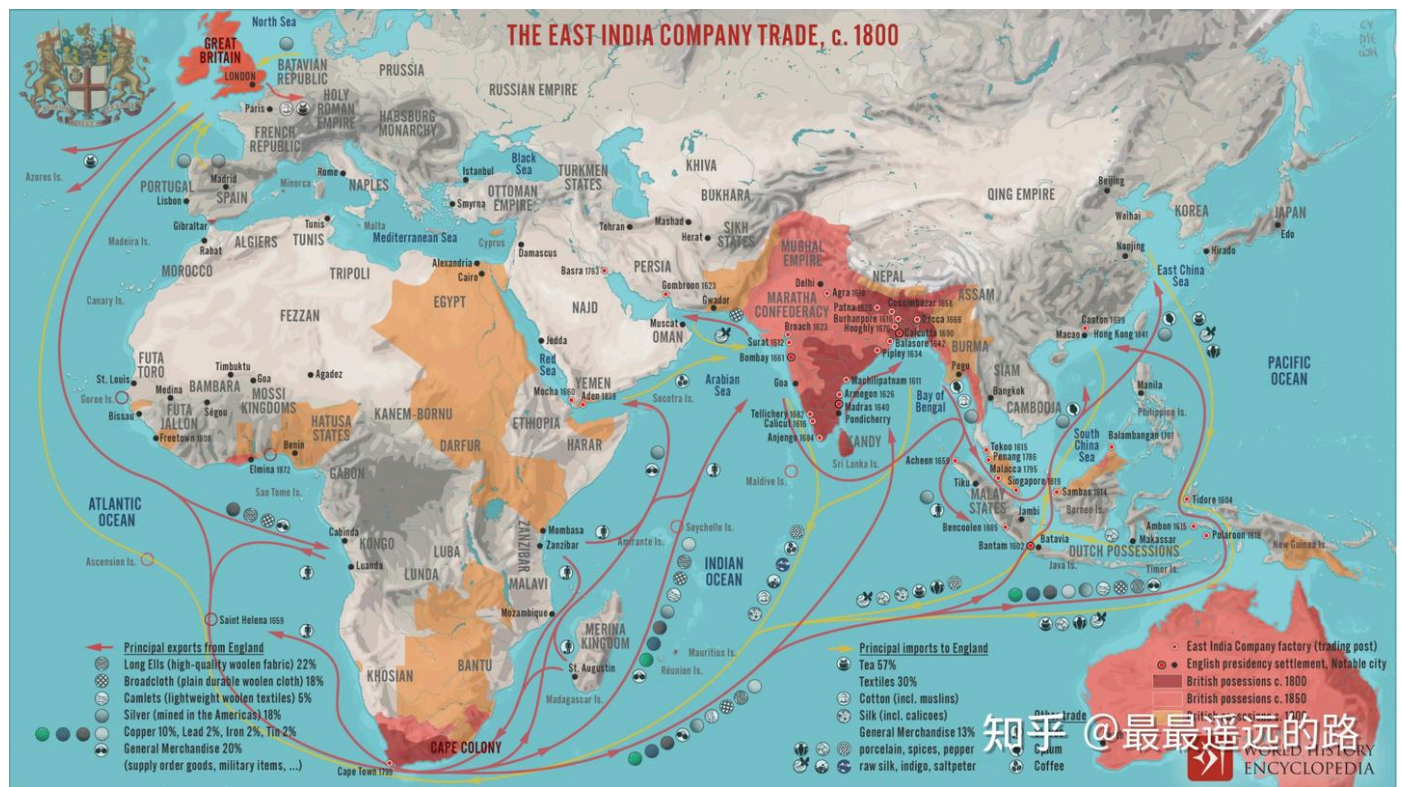
Source: <https://www.worldhistory.org/uploads/images/14411.png?v=1768170065-1754193743>

The map above shows the global trade routes established by the Spanish in the sixteenth century. The gold and silver of the colonies were exchanged for European industrial goods; but the spices, silks, and porcelains Europe wanted were not to be had in Latin America — they had to be traded for in Asia. European industrial goods had almost no market in Asia, so the Spaniards used American silver to trade with Chinese merchants at Manila — the so-called "Manila galleon" trade. Through this trade the Spanish merchants accumulated vast amounts of capital:

When the galleons returned from Mexico, since the local colonists could produce nothing welcome to the Chinese people, the only way to balance the trade was to fill the trade deficit with American silver. The German-American scholar Andre Gunder Frank held that China, with its matchless manufacturing and export advantages in silk and porcelain, ran a surplus in trade with any country, and foreigners had to pay China in silver to do business with the Chinese. It is estimated that from 1565 to 1820, Mexico shipped 400 million pesos of silver to Manila, most of which flowed into China. Thus the trade relation China formed through Manila and Mexico was in essence the exchange of Mexican silver for Chinese silk. In the sixteenth century, the Manila galleons from China to America represented a special circulation route, a long-distance trade of enormous capital, forming the "silk–silver" exchange across the Pacific. Since the opening of the galleon trade, the Spanish colonial authorities enforced a strict trade monopoly, restricting the number of ships, tonnage, cargo capacity, and total value of the trade,

lest the cheap and fine goods of China and other Asian countries crowd out Spanish goods in the Latin American market, and extracting huge monopoly profits. It is estimated that by having Chinese merchant ships carry Chinese goods to Manila, and then transshipping Chinese goods and those of other Asian countries by galleon to Acapulco in Mexico, the Spanish colonists could reap profits as high as 600%–800%. Source: "The galleon trade promoted Sino-Latin American civilisational exchange" (Chinese Social Sciences Network)

Until the early nineteenth century, in the world market the Europeans had created, apart from colonial plunder and the enslavement of Blacks, the principal economic activity was exchanging the products of the colonies for the goods of advanced industrial countries like China and India. The map below shows the East India Company's main trade routes around 1800. It can be seen that British industrial goods were sold mainly to backward colonial regions like Africa; what was exported to China was chiefly silver and Indian opium; and what was imported from China was tea, textiles, porcelain, and other light industrial goods.



Source: <https://www.worldhistory.org/image/16446/map-of-the-east-india-company-trade-c1800/>

To summarise the world-system of this period: there were two advanced industrial regions, backward industrial countries, and agricultural countries (the colonial regions). Western Europe and other primary industrial countries controlled vast agricultural regions. First, they exchanged between the agricultural regions (colonies) and the backward industrial countries, gradually fostering their own industries through the market of the agricultural regions. Second, the commercial capital of the backward industrial countries controlled the trade between the agricultural regions and the advanced

industrial countries (in the colonies, direct extraction through taxation and the like was also possible), accumulating vast commercial capital through this trade — and much of this commercial capital flowed back home, becoming one of the means of primitive accumulation for industrial capital.

In this system, the most advanced industrial countries were China and India — the centres of the world-system — while the semi-peripheral industrial countries were the West European states led by Britain, which controlled global trade by violence. The transnational trade promoted by the semi-peripheral industrial countries expanded the global market, stimulating commodity production and even capitalist industry in both the centre and the semi-periphery, developing from the early putting-out merchants to manufactories. For example, the textile industry around Shanghai produced largely for export, and in many trades had developed to the level of the manufactory.

In the 48 years from 1786 to 1833, the merchant ships of Britain, France, Holland, Sweden, Denmark, Spain, Italy, and other countries bought over 44 million bolts of "Nanjing cotton cloth" at Canton. The peak year for "Nanjing cotton cloth" bought by foreign ships at Canton was 1819, with 3.3 million bolts worth over 1.7 million silver dollars. In the 17 years from 1817 to 1833, the foreign ships bought over 19 million bolts of "Nanjing cotton cloth" at Canton, an average of over 1.1 million bolts a year, worth about 780,000 silver dollars. In the 25 years from 1804 to 1829, American ships bought over 3.3 million bolts of "Nanjing cotton cloth" at Canton, an average of over 1.2 million a year. Most was taken home, some to Europe, the West Indies, South America, Manila, and Hawaii. Before the large-scale development of the American mechanised cotton textile industry, consumers there were also good customers of "Nanjing cotton cloth." ... The cotton cloth towns also had considerable groups of hired workers. Fengjing, a town as famous as Zhujing, is a typical case: the Guangxu-era Fengjing Gazetteer, in its supplementary juan, quotes Wu Yukun's Tianzhi lu: "In the Kangxi period, the town had many cloth shops; the shops hired many dyers and calenderers, all from Jiangning, coming and going in droves." The dyeing and calendering workshops employed such numbers of dyers and calenderers that they "came and went in droves," often clashing with the townsfolk. In the 22nd year of Kangxi (1683), a major case finally broke out. The book records: "(The dyers and calenderers) harassed the neighbourhood; the people suffered from them, their pent-up anger could not be contained; they gathered the masses, raised large funds, closed the town gates and water barriers, and by a scheme killed several hundred in their fury... afterwards several hundred family members of the dead, each with white cloth bound on their heads, took up weapons for revenge." You see, the dyers and calenderers killed by the townsfolk's "scheme" numbered several hundred, and their families, several hundred, took to the streets for revenge — clearly the hired-worker community of Fengjing was no small number; the dead alone numbered hundreds, and the total of hired workers must have been several times that — perhaps several thousand. Source: Fan Shuzhi, "The 'Early Industrialisation' of the Jiangnan Market Towns in the Ming-Qing Period"

However, China's early modern industrial development, commodity economy, and market-town development did not trigger an "Industrial Revolution." The Industrial Revolution beginning in the second half of the eighteenth century broke out not in Jiangnan — the most advanced handicraft region, the centre of the world-system — but in Britain, a semi-peripheral region of the world-system. China did not lack efficient machines — the water-powered large spinning wheel, for instance^[2] — yet it did not take the path of the Industrial Revolution. In the stage of early industrialisation, China, formerly more advanced or at least on a par, gradually fell behind Europe; after Europe completed the Industrial Revolution, the lag grew ever larger — the so-called "Great Divergence." The Great Divergence question is a hot topic in economic history; the California School of American scholarship raised and promoted it, but Chinese academia has also produced many findings^[3]. On this question we will not go into depth here; it is enough to understand that China was not always behind — in fact, in the first capitalist world-system, in terms of industrial capacity, China was the developed centre. Nevertheless, from the standpoint of capital accumulation, the centre of this system lay in Western Europe. Capital accumulation created the social conditions for the Industrial Revolution.

In this period, because the industrial level of the West European countries was below that of the advanced industrial regions such as India and China, they had to adopt high tariffs to keep quality industrial goods out and protect their own industries. Britain, for example, long levied high tariffs on Indian calico in the eighteenth century — rates above 50% for decades — to protect its own manufactures^[4]. Other West European countries also followed Britain's example and raised tariffs on Indian cotton cloth.

The so-called hegemons of this period were not industrial hegemons, but powers that held command of the sea and monopolised trade. Industry mattered for hegemony through those sectors closely related to maritime military supremacy — shipbuilding, metalworking, cannon, and warships. Spain, Holland, and Britain successively held hegemony, each relying on naval strength, not overall industrial power. Throughout the long period from the sixteenth to the eighteenth century, none of these so-called hegemons had industrial strength surpassing China's or India's. Their advanced industrial products — muskets, cannon — once introduced, could be quickly learned and reproduced in bulk by advanced regions like China. During the European Enlightenment, there was even a "Chinamania" — an admiration for Chinese objects, institutions, and thought^[5]. What Western Europe truly led China in was modern science. Western science also entered China with trade; but for various ideological and political reasons, its spread in China was limited. By comparison, Japan in the late shogunate absorbed Western science earlier and more comprehensively^[6].

Throughout this whole period, the manufacturing-centre countries of the world-system remained on the whole traditional pre-capitalist societies; so long as they did not split internally, the semi-peripheral West European states could not colonise them. In this respect, the Ming dynasty's wars

against the Dutch, and Britain's First Maratha War in India, are positive examples, while the Second Maratha War is a counter-example. The vast regions in the periphery, by contrast, faced first the task of casting off colonial status and winning national liberation. Only by establishing independent sovereign states could they avoid being bled by the West European colonisers, and effectively use their own human and material resources to develop their economies.

2. The National Industrial Capitalist Stage

After the Industrial Revolution broke out in Britain, Western Europe's industrial capacity developed explosively. Yet even by the early nineteenth century, British industrial goods still could not match Indian and Chinese cotton cloth in value for money; so Britain, throughout almost the whole Industrial Revolution, kept tariffs on Indian textiles, while using the power of its colonial government to turn India into a dumping ground for British textiles, at no tariff or very low tariff.

On this, Marx commented:

England first drove the Indian cotton textiles out of the European market, then imported cotton yarn into Hindustan, and finally deluged the motherland of cotton textiles with English cotton goods. From 1818 to 1836, the export of cotton yarn from Great Britain to India rose in the proportion of 1:5,200. In 1824, the import of British muslin into India was less than a million yards, while in 1837 it surpassed 64 million yards. But during the same period, the population of Dacca fell from 150,000 to 20,000. And yet this decline of the Indian cities famous for textiles was by no means the worst result of British rule. British steam and science destroyed, over the whole of Hindustan, the union of agriculture and manufacturing industry. — Marx, "The British Rule in India"

As the table below shows, in 1750 India and China together produced nearly 60% of the world's manufacturing output, far exceeding Western Europe. But by 1880, the industrial output of China and India was far below the West European countries — India in particular had been essentially de-industrialised.

Table 3

World Manufacturing Output 1750-1938
(in percent)

Year	India	China	Rest of the Periphery	Developed Core
1750	24.5	32.8	15.7	27.0
1800	19.7	33.3	14.7	32.3
1830	17.6	29.8	13.3	39.5
1880	2.8	12.5	5.6	79.1
1913	1.4	3.6	2.5	92.5
1938	2.4	3.1	1.7	92.8

Source: Simmons 1985, Table 1, p. 600, based on Bairoch 1982, Tables 10 and 13, pp. 296 and 304. *Note:* India refers to the total sub-continent.

Source: "India's De-Industrialization Under British Rule: New Ideas, New Evidence" (NBER)
https://www.nber.org/system/files/working_papers/w10586/w10586.pdf

The First Industrial Revolution was completed in Britain in the 1840s; then France, Germany, and Eastern Europe completed their industrial revolutions in turn in the second half of the nineteenth century. America's Industrial Revolution was roughly complete by 1860.



Source: <https://vividmaps.com/spread-of-the-industrial-revolution/>

After the industrial revolutions were completed, the world-system entered its second stage: national industrial capitalism. The principal mode of capital accumulation was industrial capital. Accumulation proceeded mainly within each nation-state. With the constant accumulation of capital, the capitalists commanded ever greater productive forces; capitalist production turned out ever more commodities while consuming ever more raw materials. In periods of industrial boom, because expanded reproduction was too fast, the domestic market could no longer contain the development of the productive forces, and the domestic agricultural regions could no longer supply enough primary products.

The national industrial capitalist states restructured the world-system. The backward industrial countries that had been semi-peripheral in the first stage of the world-system used cheap industrial goods to destroy the industrial capacity of the formerly advanced centre regions, and extended their relationship with the backward agricultural regions to the whole world.

As shown below^[7], in 1760 Britain's foreign trade was relatively balanced, exporting and importing both industrial goods and agricultural goods; but by 1850 Britain exported almost only industrial

goods and imported almost only agricultural goods.

Table 1. Trade flows, 1760s and 1850s (£ millions).

1760	Cotton textiles	Other textiles	Iron and steel	Coal	Agriculture	Rest of economy	Tropical raw mat.	Tropical food
ROW to GB	0.697	1.766	0.471	0.000	2.729	0.117	1.139	1.047
GB to ROW	0.045	3.053	0.826	0.321	0.422	3.892	0.000	0.000
NAM to GB	0.000	0.000	0.010	0.000	0.602	0.001	0.255	3.901
GB to NAM	0.176	1.962	0.372	0.012	0.150	1.504	0.000	0.000
ROW to NAM	0.085	0.495	0.000	0.000	0.210	0.016	0.001	0.165
NAM to ROW	0.000	0.000	0.001	0.000	0.048	0.000	0.020	0.310
1850s								
ROW to GB	0.000	8.695	0.000	0.000	67.268	16.677	25.120	15.297
GB to ROW	33.889	11.471	14.710	5.534	0.000	82.677	0.000	0.000
NAM to GB	0.000	0.008	0.000	0.000	13.014	2.705	19.845	8.659
GB to NAM	5.691	6.829	4.866	0.291	0.000	11.330	0.000	0.000
ROW to NAM	0.000	1.441	0.000	0.000	15.140	28.782	8.998	6.899
NAM to ROW	0.000	0.008	0.000	0.000	13.545	2.815	20.655	9.012

Note: ROW = Rest of the World; GB = Great Britain; NAM = North America.
Sources: Davis, 'Trade' (1962) and Davis, *Industrial Revolution* (1979).

To understand the characteristics of this stage of the world-system, and its difference from the new stage that followed, one must understand the new world-system from the standpoint of capital accumulation.

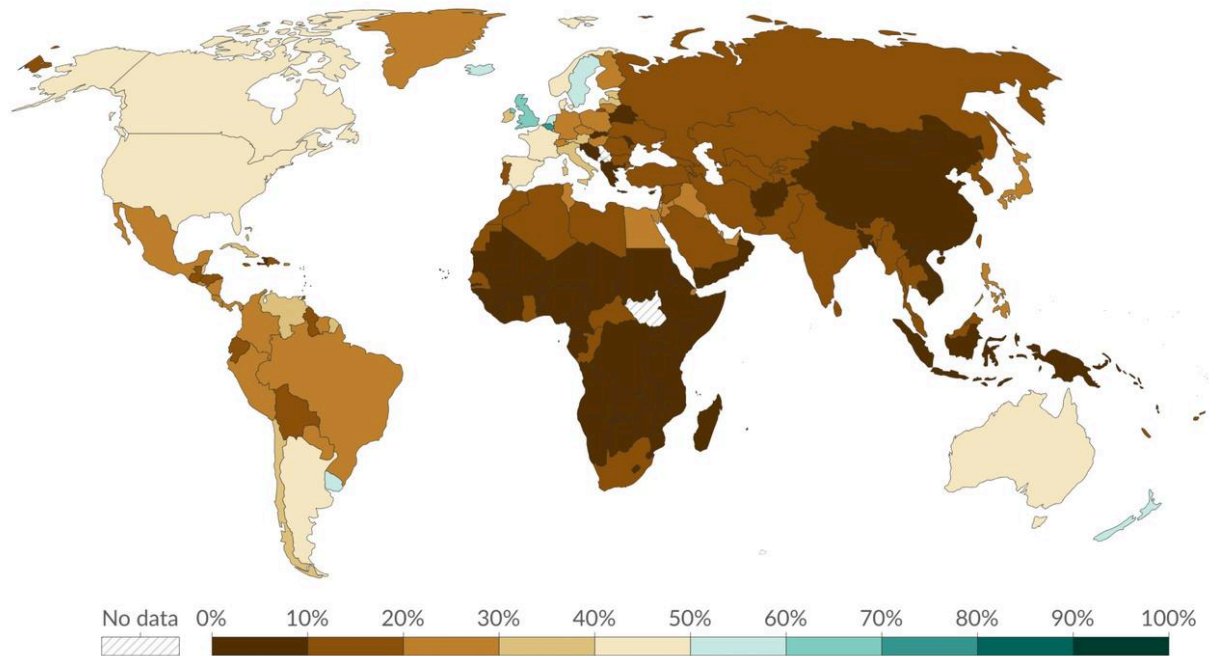
In the Marxist view, capital is a social relation — a relation of production that exploits the worker through the employment of wage labour. Hence the accumulation of capital is in essence the accumulation of wage labour, i.e. of variable capital. To use wage labour, one needs corresponding means of production — machinery, factory buildings. Capital in the form of means of production is capital only when it corresponds to the living labour of wage labour:

Capital is not a thing, but a definite social relation of production belonging to a definite historical formation of society, which is manifested in a thing and lends this thing a specific social character. Capital is not the sum of the material and produced means of production. Capital is the means of production transformed into capital, which in themselves are no more capital than gold or silver in themselves are money. It is the means of production monopolised by a certain section of society, confronted with living labour power, as products and conditions of activity of this labour power that have become independent; through this opposition, capital is personified in the capitalist. It is not only the product of the workers turned into an independent power, the product that dominates and buys its own producer; it is also the social force of this labour and its future form... confronting the producer as the attribute of the product. — Marx, *Capital*, Volume III

The self-expansion of capital means the growth of the labour it employs. Since there was still a continuous supply of domestic labour, capital could keep expanding. As shown below^[8], by 1910, among European countries, only Britain, the Netherlands, and Norway had an urbanisation rate above 50%; all other countries were below 50%. Outside Europe, even the most advanced country, the United States, was below 50%.

Share of the population living in urban areas, 1910

Share of the total population living in urban areas, given as estimates by HYDE until 2023 and UN projections through 2050, using the median fertility scenario for future urbanization trends.



Data source: United Nations, Department of Economic and Social Affairs, Population Division (2018); HYDE (2023)

Note: Because the estimates of city and metropolitan areas are based on national definitions of what constitutes a city or metropolitan area, cross-country comparisons should be made with caution.

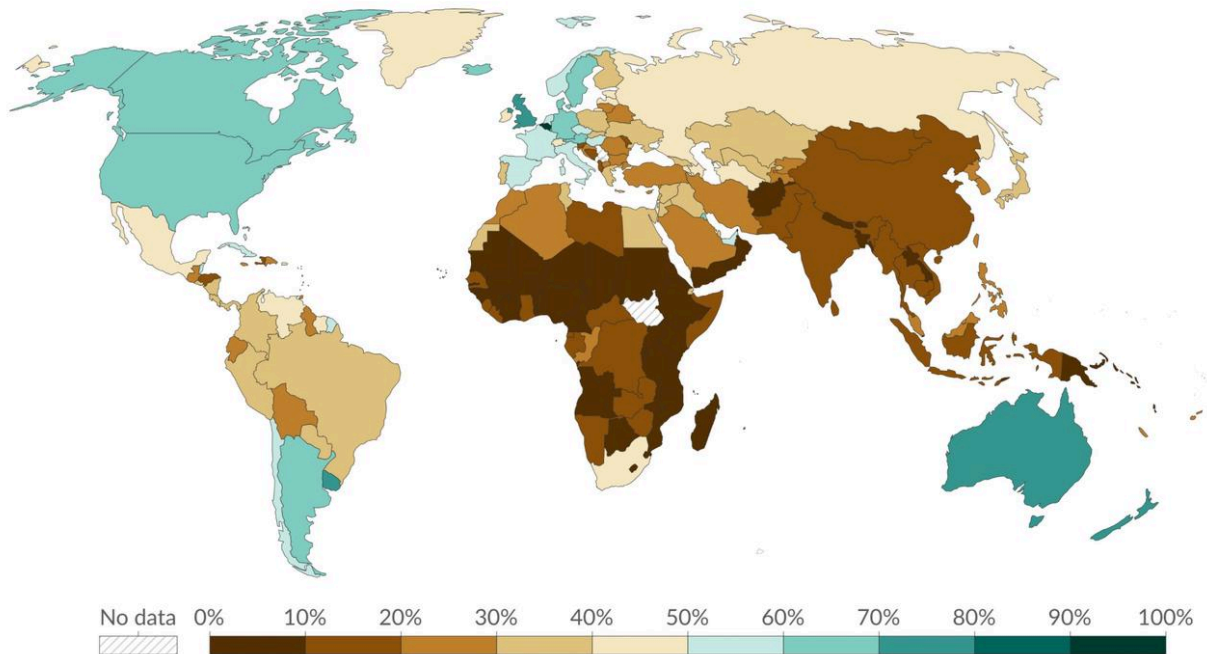
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In fact, as shown below^[9], in 1950 only a few places such as Britain, Belgium, Australia, and Uruguay had urbanisation above 50%. America's urbanisation was only 64% — a bit lower than China's of 2024. Asia's most advanced country, Japan, was below 40%. So until after the Second World War, except for a few countries like Britain and America whose urbanisation was nearly complete and whose rural surplus labour was nearly exhausted, most other industrial countries still had large surplus labour available for exploitation by capital; domestic capital accumulation still had considerable room.

Share of the population living in urban areas, 1950

Share of the total population living in urban areas, given as estimates by HYDE until 2023 and UN projections through 2050, using the median fertility scenario for future urbanization trends.



Data source: United Nations, Department of Economic and Social Affairs, Population Division (2018); HYDE (2023)

Note: Because the estimates of city and metropolitan areas are based on national definitions of what constitutes a city or metropolitan area, cross-country comparisons should be made with caution.

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Although the accumulation of capital (workers and means of production) took place domestically, the realisation of commodities was not confined to the domestic market — it faced the whole world. Hence the rapidly developing sectors needed raw material sources from across the globe and ever-expanding markets for their goods. And to secure stable raw material sources and product markets, the industrial countries kept expanding their colonies elsewhere, subjecting more and more nations to the fate of colonisation.

Britain completed the colonial conquest of the Indian subcontinent during the first half of the nineteenth century, in the era of the First Industrial Revolution. France began conquering Algeria in 1830 and completed it by 1847. France began conquering Vietnam in 1858, which ultimately provoked the Sino-French War. As the world map below shows^[10], by 1859–60, in Asia and Africa, Ottoman Turkey, the Qing dynasty, Japan, Siam (Thailand), Persia, and other feudal dynasties with a certain strength in the first global system of capitalism could still maintain a measure of sovereignty in semi-colonial fashion. The rest had either been reduced to colonies or were the vast region of the African continent awaiting partition.



After the Berlin Conference that partitioned Africa in 1882, the European capitalist industrial states quickly completed the division of Africa. As shown below, by 1900 the whole world had been carved up. The old industrial powers with first-mover advantages, Britain and France, took the largest colonies in Africa.



The colonies, semi-colonies, and backward politically independent states (concentrated in Latin America) formed the periphery of this world-system, while Western Europe and America formed the centre. Capital accumulation, industrial development, and technological innovation were all

concentrated in the centre; the periphery exchanged the primary products of pre-capitalist output for the industrial goods of the centre. This division of labour within capitalism appeared most purely in the politically independent capitalist countries.

After gaining independence in the early nineteenth century, the Latin American countries acquired tariff autonomy, and to develop their own manufacturing they long pursued protective tariffs. As shown below^[11], the tariffs of the Latin American countries were markedly higher than those of the colonies and semi-colonies — China, for instance, long kept a 5 percent import tariff under imperialist pressure.

Table 1
Average tariff level 1900-1913
(percentage)

Country	Average tariff level
Argentina	23.4
Brazil	40.4
Chile	18.3
Colombia	47.4
Cuba	25.6
Mexico	21.9
Peru	23.2
Uruguay	33.3

Source: Clemens and Williamson (2002)

Where the centre's production was still mainly domestic, the peripheral countries could not develop industry with protective tariffs alone — they also needed strong governments implementing industrial policy, and relatively developed domestic markets. In this whole historical period, only Japan succeeded in rising from the periphery to the centre. The Latin American countries developed some industry, but in the international division of labour they remained on the whole peripheral. The

chart below shows Mexico's export structure: Mexico's exports were mainly agricultural products, minerals, and petroleum products.

Table 1. *Composition of Mexico's Exports to its Main Trading Partners. Selected years, 1890–1930*
(nominal value in million dollars and percentage of total commodity exports value)

Groups	1890		1895		1900		1905		1910		1911		1912		1913		1914		1915	
	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total
Agricultural	14	40	12	30	15	26	27	26	29	24	31	23	31	23	43	33	41	38	41	31
Animal	2	5	3	7	4	7	5	5	8	6	11	8	12	8	17	13	17	16	13	10
Forest	2	6	2	5	2	3	1	1	1	1	0.7	1	0.2	0	0.3	0	0.8	1	0.3	0
Mineral (except oil)	12	34	19	47	33	59	61	58	57	46	62	48	58	42	42	32	26	25	47	35
Oil and byproducts	0	0	0	0	0	0	0	0	0.3	0	2	2	8	6	13	10	12	11	17	13
Total sample	29	84	37	89	53	95	94	90	95	78	106	82	109	79	116	89	97	90	118	89
Total commodity exports (SK)	35	100	41	100	56	100	104	100	122	100	130	100	138	100	130	100	108	100	133	100
Groups	1916		1917		1918		1919		1920		1921		1922		1925		1929		1930	
	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total	value	% of total
Agricultural	39	26	64	31	66	27	71	28	68	22	28	13	27	11	51	17	48	20	29	17
Animal	15	10	9	5	9	4	12	5	6	2	0.9	0	2	1	3	1	7	3	7	4
Forest	0	0	0	0	0	0	0	0	0.1	0	0.4	0	0.4	0	0	0	0.4	0	0	0
Mineral (except oil)	59	40	81	40	103	42	94	37	87	29	51	24	67	28	77	25	80	34	49	28
Oil and byproducts	22	15	32	16	50	21	57	22	114	38	119	56	125	51	111	36	25	11	23	13
Total sample	135	91	186	91	228	93	229	92	275	91	198	93	222	91	242	79	161	67	108	61
Total commodity exports (SK)	149	100	205	100	245	100	253	100	303	100	214	100	243	100	307	100	239	100	176	100

Sources: Own elaboration based on the commercial statistics of the United States, Great Britain, France and Germany. For complete sources see footnote 10.

For the total value of commodity exports (designated as SK) see Kuntz Ficker, 'Nuevas series', table 2.

Notes: The table presents the grouping by classes of the main export items. The items included are:

Agricultural products: coffee, ixtle, henequen, sugar, dyes (indigo and jalapa), vanilla and vanilla beans, india rubber, guayule gum, tobacco, tomatoes, peas, beans, and chickpeas, raw cotton, bananas.

Animal products: cattle, hides and skins.

Forest products: mahogany and dye woods.

Mineral products: copper (ore, matte, and regulus; concentrates; pigs, ingots, bars, plates, and old (unrefined)); lead (ore, bullion and base metal); iron, silver, mercury, zinc, gold, platinum, and tin (ore, regulus, metal), zinc ore.

Oil products: crude, semi-refined and refined, lubricating, topped oils (including fuel).

The industrial countries, by contrast, exported mainly manufactured goods and imported mainly primary products. Until the Second World War the centre countries maintained this import-export structure, as with Germany^[12]:

Table XII - GERMANY

IMPORTS												
Year	Conv. factor US cents per mark	Value in million US dollars			Index numbers: 1953 = 100							Index of manuf. production 1953=100
		Total	Manuf. goods	Other goods	Value			Unit value		Quantum		
					Total	Manuf. goods	Other goods	Total	Manuf. goods	Total	Manuf. goods	
1900	23.82	1377	320	1057	37	35	37	..	..	..	..	31
1901	23.82	1295	268	1027	34	30	36	..	..	..	..	31
1902	23.82	1347	268	1078	36	30	38	..	..	..	..	34
1903	23.82	1436	291	1145	38	32	40	..	..	..	..	34
1904	23.82	1523	320	1203	40	35	42	..	..	..	..	37
1905	23.82	1708	379	1329	45	42	46	..	..	..	..	38
1906	23.82	1850	357	1493	49	39	52	..	..	..	..	41
1907	23.82	2091	455	1636	55	50	57	..	..	..	..	40
1908	23.82	1833	375	1457	49	41	51	..	..	..	..	39
1909	23.82	2044	402	1642	54	44	57	..	..	..	..	41
1910	23.82	2140	433	1707	57	48	60	..	..	..	..	44
1911	23.82	2334	498	1837	62	55	64	..	..	..	..	48
1912	23.82	2556	511	2045	68	56	71	..	..	..	..	50
1913	23.82	2577	526	2051	68	58	72	62	56	110	103	51
1921	..	1243	247	996	33	27	35	..	..	..	..	38
1922	..	1478	399	1079	39	44	38	..	..	..	..	42
1923	23.82	1146	259	887	30	29	31	86	..	36	..	28
1924	23.82	1632	397	1235	43	44	43	90	..	48	..	42
1925	23.82	2960	681	2279	79	75	80	92	82	86	91	48
1926	23.82	2393	481	1912	64	53	67	84	81	76	65	46
1927	23.82	3398	854	2544	90	94	89	83	82	109	114	62
1928	23.82	3342	808	2534	89	89	89	85	83	105	107	60
1929	23.82	3211	772	2439	85	85	85	84	87	101	98	60
1930	23.82	2480	584	1896	66	64	66	73	83	90	77	52
1931	23.82	1613	399	1214	43	44	42	56	75	76	58	43
1932	23.82	1121	244	877	30	27	31	42	59	71	46	36
1933	30.51	1295	305	990	34	34	35	49	70	70	48	40
1934	39.40	1763	421	1342	47	46	47	64	87	74	54	52
1935	40.45	1685	337	1348	45	37	47	67	88	67	42	59
1936	40.37	1706	316	1390	45	35	49	70	91	64	38	65
1937	40.21	2198	382	1816	58	42	63	77	97	49	40	70
1938	40.16	2188	393	1795	58	43	63	72	88	80	50	76

Table XII - GERMANY

EXPORTS														
Year	Conv. factor US cents per mark	Value in million US dollars			Percentage of World exports		Index numbers: 1953=100							Terms of trade
		Total	Manuf. goods	Other goods	Total	Manuf. goods	Value			Unit value		Quantum		
							Total	Manuf. goods	Other goods	Total	Manuf. goods	Total		
1900	23.82	1102	779	323	10.9	19.5	25	21	45	47	53	54	41	..
1901	23.82	1061	753	308	10.4	19.3	24	21	42	44	50	55	42	..
1902	23.82	1119	809	310	10.8	20.2	26	22	43	43	49	59	46	..
1903	23.82	1198	857	340	10.8	20.4	27	23	47	44	48	63	49	..
1904	23.82	1248	887	360	10.8	20.2	28	24	50	44	48	65	50	..
1905	23.82	1372	992	380	11.2	20.2	31	27	52	45	50	70	55	..
1906	23.82	1507	1105	402	11.0	20.1	34	30	55	46	51	75	60	..
1907	23.82	1636	1223	413	11.3	20.7	37	33	57	48	52	78	65	..
1908	23.82	1529	1111	418	11.2	20.6	35	30	57	43	46	80	66	..
1909	23.82	1576	1136	440	10.9	20.3	36	31	61	44	47	81	66	..
1910	23.82	1784	1286	498	11.2	20.7	41	35	68	44	45	93	78	..
1911	23.82	1937	1410	528	11.5	21.0	44	39	73	44	45	101	86	..
1912	23.82	2139	1570	569	11.7	21.2	49	43	78	44	45	110	95	..
1913	23.82	2411	1750	661	12.4	20.9	55	48	91	44	48	124	105	71
1921	..	745	636	109	3.8	7.8	17	17	15	..	..	..	..	..
1922	..	947	834	113	4.4	9.3	22	23	16	..	..	..	..	..
1923	23.82	1274	1118	156	5.2	11.3	29	31	21	56	..	52	..	65
1924	23.82	1225	991	234	4.5	9.1	28	27	32	62	..	45	..	70
1925	23.82	2220	1691	529	7.1	13.3	51	46	73	65	70	78	66	71
1926	23.82	2487	1823	664	8.3	14.9	57	50	91	65	70	88	71	77
1927	23.82	2576	1966	610	8.2	15.1	59	54	84	66	69	89	77	80
1928	23.82	2929	2254	675	9.0	16.2	67	62	93	65	71	102	87	77
1929	23.82	3217	2493	724	9.7	17.1	73	68	100	64	71	114	97	77
1930	23.82	2871	2277	595	10.9	10.3	65	62	82	61	68	108	92	83
1931	23.82	2290	1837	452	12.2	21.9	52	50	62	53	61	98	82	95
1932	23.82	1371	1109	262	10.8	20.5	31	30	36	46	55	68	55	110
1933	30.66	1504	1215	290	10.2	10.3	34	33	40	54	65	64	51	109
1934	39.38	1647	1330	317	8.8	16.6	38	36	44	66	79	57	46	104
1935	40.46	1733	1433	300	8.9	16.7	40	39	41	64	75	61	52	97
1936	40.37	1927	1642	285	9.1	18.4	44	45	39	65	75	67	60	93
1937	40.21	2377	2007	370	9.2	18.1	54	55	51	62	79	72	60	90
1938	40.16	2111	1803	309	9.3	17.5	48	49	42	73	82	66	60	101

To squeeze out more surplus, the centre countries exercised political control over the principal producers of primary products, above all requiring them to lower tariffs on imported industrial goods^[13], and to open up mining, railways, and other public utilities to investment — turning them not only into markets for selling commodities but also into sources from which high profits could be squeezed out of their exports. This was the essence of capital export in this period. When domestic capital accumulation was rapid, this capital export was not yet conspicuous; but once domestic capital accumulation slowed or was impeded, a wave of capital export would appear.

On the mother country's railway investment in the colonies, Marx pointed out sharply that the British industrial capitalists invested in India precisely to lower the price of raw materials. But Marx also noted that the export of capital was at the same time laying the material foundations of capitalist society in India.

England has to fulfil a double mission in India: one destructive, the regeneration of the old Asiatic society; the other regenerative, the laying of the material foundations of Western society in Asia.... I know that the English millocracy intend to endow India with railways with the exclusive view of extracting at diminished expenses the cotton and other raw materials for their manufactures. But when you have once introduced machinery into the locomotion of a country, which possesses iron and coals, you are unable to withhold it from the fabrication of machinery itself. You cannot maintain a net of railways over an immense country without introducing all those industrial processes necessary to meet the immediate and current wants of railway locomotion, and out of which there must grow the application of machinery to those branches of industry not immediately connected with railways. The railway system will therefore become, in India, truly the forerunner of modern industry. — Marx, "The Future Results of British Rule in India"

In the long depression of the second half of the nineteenth century, capitalist development evolved from free competition into monopoly capitalism; bank capital and industrial capital fused into finance capital. This is what Lenin called imperialism. Once the centre countries of the world-system entered the era of imperialism, the scale of capital export abroad became still greater. Before Africa and Asia were fully partitioned, the imperialists could still form temporary coalitions to share the spoils, and their contradictions were to a large extent reconcilable. But as Lenin said, once the world was basically fully partitioned, the redivision of interests among imperialist countries whose relative strength had changed could only be accomplished through war:

The distinctive feature of the present situation is that the following economic and political conditions prevail: imperialism has grown from an embryo into a dominant system; capitalist monopolies occupy first place in the national economy and politics; the world has been partitioned. On the other hand, what characterises the beginning of the twentieth century is no longer the exclusive monopoly of Britain, but the struggle of a few imperialist great powers to share the monopoly. Britain, thanks to its colonies, added 100,000 kilometres to "its" railway network — three times Germany's increase. But everyone knows that in this period Germany's productive forces, especially the production of coal and iron and steel, developed at a speed Britain could not match — to say nothing of France and Russia. In 1892, Germany's pig iron output was 4.9 million tons, Britain's 6.8 million; but by 1912 the figures were 17.6 million against 9 million — Germany had overtaken Britain for good! The question is: on the basis of capitalism, what other means than war is there to eliminate the incompatibility between the development of the productive forces and the accumulation of capital, on the one hand, and the division of colonies and "spheres of influence" among finance capital, on the other? — Lenin, *Imperialism, the Highest Stage of Capitalism*

Within this world-system, the contradictions among the centre countries produced the two world wars. The results of the two world wars, besides the devastating destruction of the industrial regions

except America, were the birth of the Soviet Union and a group of other socialist countries, which after the war formed the socialist camp.

After the Second World War, capitalism established a world-system centred on America. This system was in fact a continuation of the pre-war centre-periphery world-system: the centre consisted of the industrial countries — America, Western Europe, Japan; the periphery of the vast countries of Asia, Africa, and Latin America. The division of labour remained: the centre exported manufactures, the periphery exported primary products. As shown below^[14], even in 1966, primary products still accounted for 40%–50% of international trade. However, the rising share of trade in manufactures shows that mutual imports of industrial goods among the industrial countries (including the newly industrialising ones) were relatively increasing.

**TABLE 1. — WORLD EXPORTS AND WORLD PRODUCTION,
1953 AND 1957 TO 1966**

	1953	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966
World exports ^a											
<i>Value (billion dollars f.o.b.)</i>											
Total ^b	78.3	109.7	105.7	113.6	126.1	131.9	139.0	151.7	170.1	184.1	200.7
Primary products	41.8	53.2	49.8	52.2	56.2	58.0	59.7	65.0	70.9	73.7	(78)
Manufactures	35.6	55.3	54.7	60.0	68.6	72.4	77.9	84.6	96.8	108.1	(120.5)
<i>Unit value (1953=100)</i>											
Total	100	103	100	99	100	99	99	100	102	103	105
Primary products	100	101	96	93	93	91	90	93	95	95	96
Manufactures	100	104	103	103	105	105	105	105	107	109	111
<i>Volume (1953=100)</i>											
Total	100	136	135	146	161	170	179	194	213	228	244
Primary products	100	126	124	134	144	152	158	167	178	186	(195)
Manufactures	100	149	149	164	183	194	208	226	254	279	(305)
World commodity output											
<i>Volume (1953=100)</i>											
All commodities	100	121	124	134	144	149	159	168	179	188	199
Agriculture	100	110	115	120	122	123	127	130	134	134	140
Mining and manufacturing . .	100	127	128	141	154	161	171	186	205	214	221

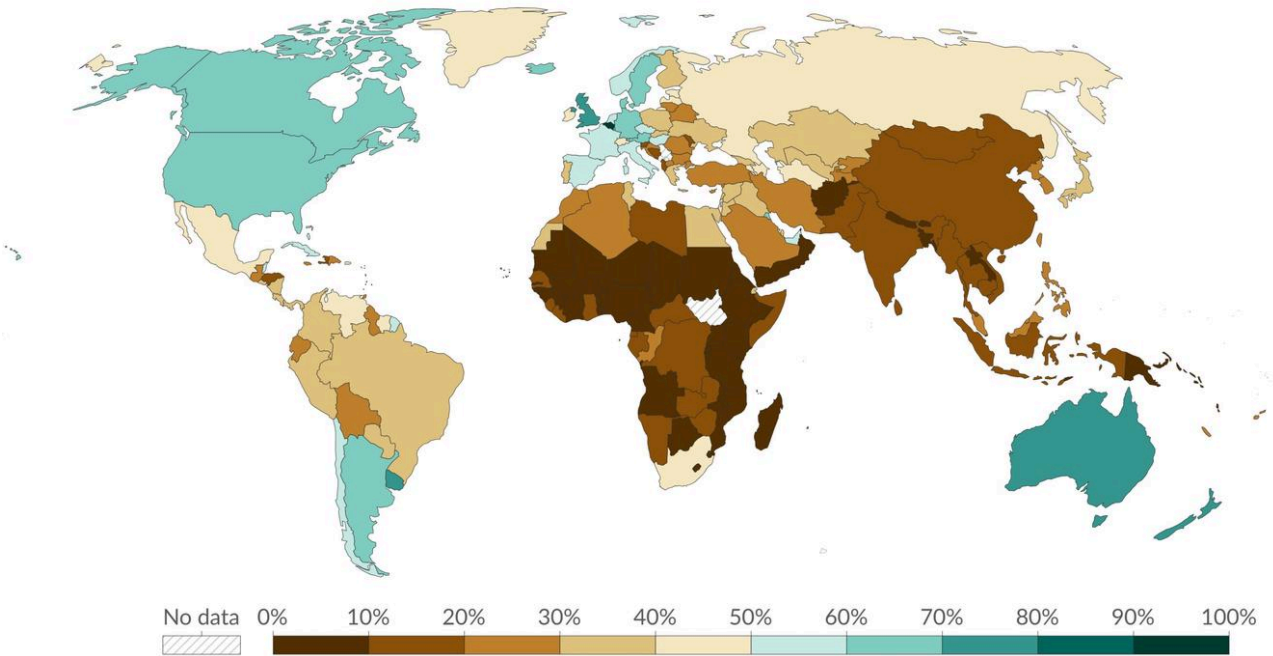
Although the centre's labour was not yet exhausted and capital accumulation could still proceed in the centre, the differences in levels of economic development still meant enormous returns on transnational investment. As shown below, by 1950^{[15][16][17]}, Japan's urbanisation was still lower than China's (in 2024), with its surplus labour basically exhausted. Apart from a few countries such as Britain, the urbanisation rates of most industrial countries in 1950 fell between China's 2010 (55 percent) and 2024 (67 percent) levels — France, the Netherlands, and other countries were only a little above 50 percent, their countryside still holding some surplus labour available for expanded capitalist exploitation, while the United States had already reached 64 percent. By 1970, the centre countries of the world-system, with the exception of Japan (according to World Bank data, Japan's

urbanisation rate had also reached 72 percent by 1970), had basically all reached around 70 percent — higher than China's current urbanisation rate, their surplus labour basically exhausted. The mode of capitalist accumulation mainly within one country ran into crisis; capital urgently demanded to leap across national borders.



Share of the population living in urban areas, 1950

Share of the total population living in urban areas, given as estimates by HYDE until 2023 and UN projections through 2050, using the median fertility scenario for future urbanization trends.



Data source: United Nations, Department of Economic and Social Affairs, Population Division (2018); HYDE (2023)

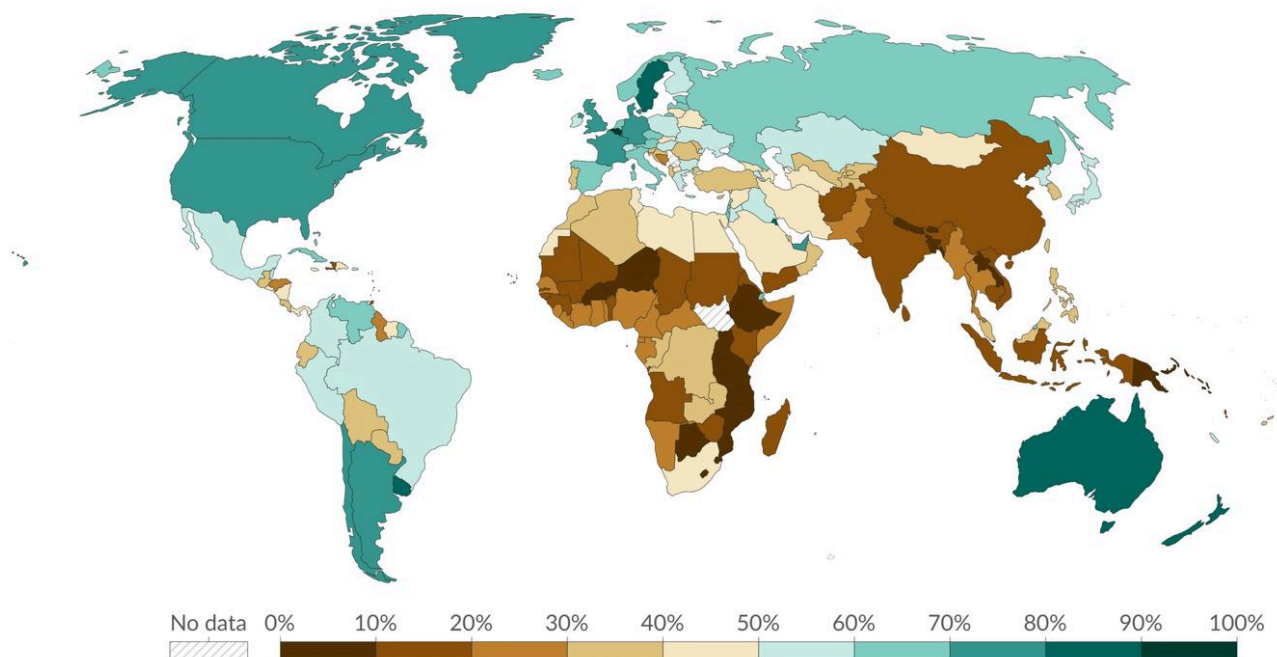
Note: Because the estimates of city and metropolitan areas are based on national definitions of what constitutes a city or metropolitan area, cross-country comparisons should be made with caution.

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Share of the population living in urban areas, 1970

Share of the total population living in urban areas, given as estimates by HYDE until 2023 and UN projections through 2050, using the median fertility scenario for future urbanization trends.



Data source: United Nations, Department of Economic and Social Affairs, Population Division (2018); HYDE (2023)

Note: Because the estimates of city and metropolitan areas are based on national definitions of what constitutes a city or metropolitan area, cross-country comparisons should be made with caution.

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For example, America gradually expanded its foreign investment after the war. As shown below^[18], America's outward investment grew markedly faster than foreign investment in America, but the total was still only a little over \$10 billion — much more than before the Second World War, yet still limited in overall scale.

Table 8.16 International Balance Sheet of the United States before and after World War II (billions of dollars, current prices)

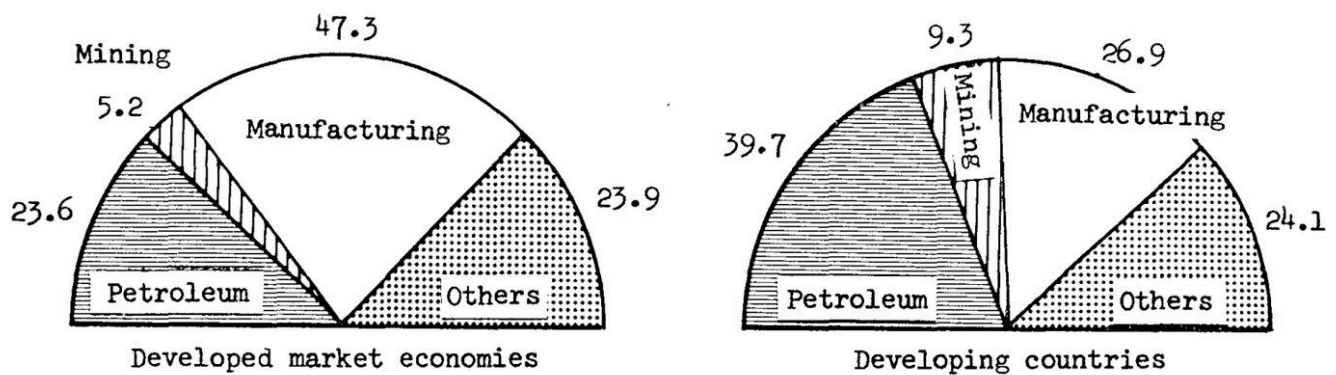
	1940	1945	1950
U.S. investment abroad			
Direct	7.3	8.4	11.8
Other private long term	<u>4.0</u>	<u>5.3</u>	<u>5.7</u>
Total private long term	11.3	13.7	17.5
Private short term	<u>.9</u>	<u>1.0</u>	<u>1.5</u>
Total private	12.2	14.7	19.0
Foreign investment in the U.S.			
Direct	2.9	2.5	3.4
Other private long term	<u>5.2</u>	<u>5.5</u>	<u>4.6</u>
Total private long term	8.1	8.0	8.0
Private short term	<u>5.1</u>	<u>5.3</u>	<u>6.6</u>
Total private	13.2	13.3	14.6
U.S. government	<u>.3</u>	<u>3.7</u>	<u>3.1</u>
Total	13.5	17.0	17.6
U.S. government	22.1	22.2	35.4

Source: U.S. Bureau of the Census 1975, Series U 26–U 39.

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Besides the domestic surplus labour still serving as an industrial reserve army, another factor restricting the flow of capital was the complexity of industrial transfer. Because of the complexity of manufacturing itself, it was very hard to build factories in countries without an industrial base, and these countries had few manufacturing enterprises to acquire. So before the 1970s, the share of manufacturing in foreign investment was higher in the developed countries than in the developing ones. For example, in the UN's 1973 report *Transnational Corporations in World Development*^[19], the share of manufacturing in developed countries' foreign investment was 47.3 percent, while developing countries accounted for only 26.9 percent.

Figure 3. Developed market economies (DAC countries): estimated distribution of estimated stock of foreign direct investment by sector and area, end 1966
(Percentage distribution)



Source: Table 13.

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When the centre's capital went out to the backward countries, if the investment was not the acquisition of existing enterprises but the building of new factories, in most cases the aim was to occupy the domestic market of the industrially backward country. But the backward countries lacked an industrial base; the transferred industries had no supporting network, and most inputs had to be imported from the centre, easily causing foreign-exchange crises. The growth of the country's own exports set limits on its industrialisation.

Mexico is a case in point. Under the international division of labour, peripheral Mexico supplied the world market with primary products — agricultural and mineral. Foreign capital entering was therefore mainly invested in mining and public services. But the Mexican government, through tariffs and other policies, successfully guided foreign capital into manufacturing, helping its industrialisation. However, the foreign capital mainly served the domestic market, not export; the more industry developed, the larger the trade deficit. In the end Mexico had to borrow to sustain its import-substitution policy, and once the price of a major export (say, oil) fell, it would face a foreign-exchange crisis or an external-debt crisis.

In 1940, foreign direct investment in mining, public utilities, and transport accounted for about 90% of total investment, but thereafter new investment increasingly flowed to industry. From 1941 to 1944, new foreign investment in manufacturing grew at an average annual rate of 36%, and from 1945 to 1949, 59%. By 1952, foreign investment in manufacturing accounted for 30% of Mexico's foreign private capital. The Alemán government pursued a strict trade-protectionist policy, even daring at the 1945 Chapultepec conference of foreign ministers to resist the pressure of Western trade liberalisation and refuse to dismantle its protective barriers. Thanks to state protection and direct state investment, Mexico's industry grew rapidly, with manufacturing averaging 8.2% annual growth. The multinationals entered precisely because they had their eyes on Mexico's domestic market: most of

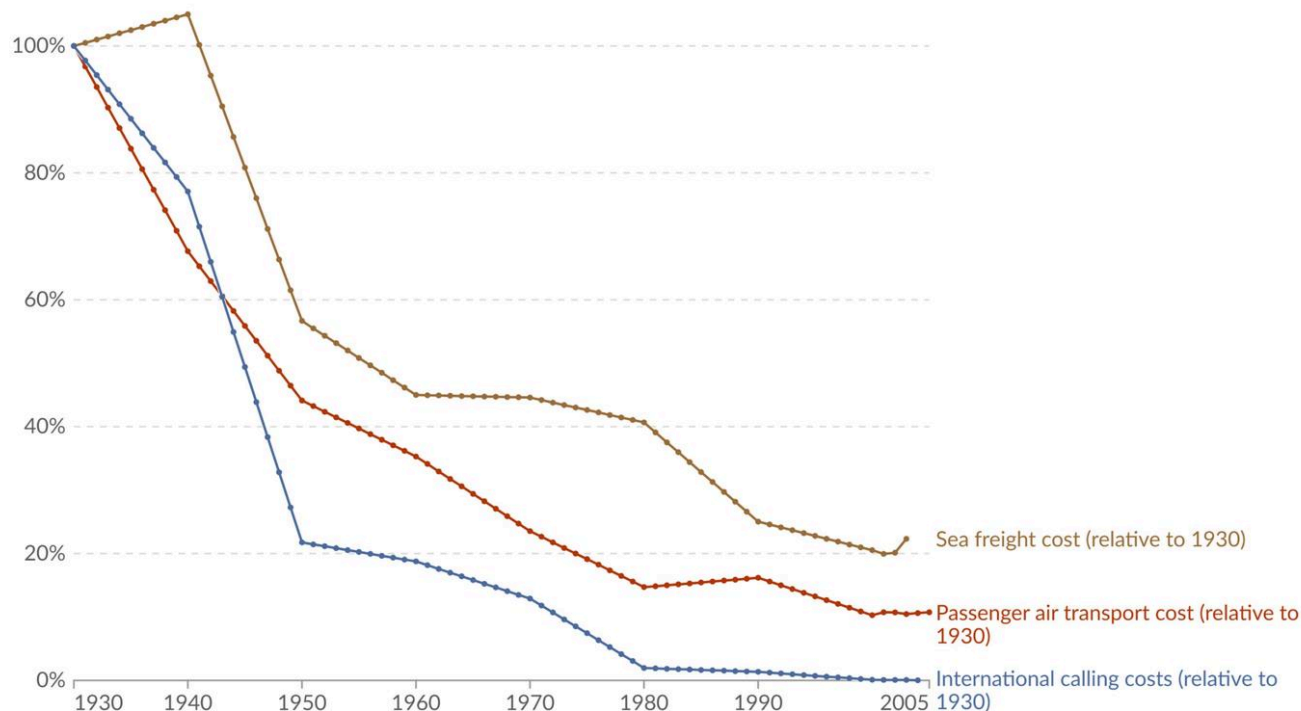
their products were sold in the host country to meet local demand, with only a small part exported. In 1970, exports of the multinationals in Mexico accounted for only 2.8% of their local sales. The sectors they entered were those they had dominated before — transport equipment, chemicals, electrical and non-electrical machinery — generally the technologically more advanced sectors. Since their exports were mainly among Latin American countries... they could expand their subsidiaries' production while selling their products in protected markets... These exports, based on capital- and technology-intensive goods, differed from the labour-intensive exports to developed countries; they created few jobs, and were in effect the regional extension of the import-substitution strategy... Yet Mexico's balance of payments deteriorated steadily. Since 1950, it had a surplus in only one year. Moreover, when the balance-of-payments deficit was compared with Mexico's capacity to pay, the ratio showed a fluctuating but steadily declining trend. This resulted partly from the specific nature of import-substitution industrialisation: as production expanded, the demand for imported intermediate goods and machinery expanded, while exports did not. Capital goods were 29% of imports in 1950–1952, rising to 43% in 1967–1969. — Han Qi, *Multinational Corporations and the Development of the Mexican Economy*

Mexico and the other Latin American countries, having won independence early, had basically completed infrastructure and light industry from the second half of the nineteenth century to the first half of the twentieth; so from the 1950s to the 1980s they could still industrialise through import substitution. For most other countries of Asia, Africa, and Latin America, with weak industrial bases and missing infrastructure, the development of capitalist industry was very difficult. Hence, on the one hand, the centre countries had exhausted their surplus labour and capital accumulation slowed; on the other, capitalist development in the periphery lacked capital, and vast rural surplus labour could hardly be absorbed into capitalist production.

On the one side, the centre's excess capital could find no labour to exploit; on the other, the periphery's vast labour could not be converted into wage labour. Industrial capital urgently needed to leap across national borders. And the needs of transnational capitalist production drove the rapid application of new technologies in communications and transport — for instance, the trans-Pacific^[20] and transatlantic^[21] telephone lines were all laid in the 1950s and 1960s. The container revolution, which sharply lowered transoceanic transport costs, began in the 1960s and spread in the 1970s to other industrial countries and developing countries^[22]. Communication and transport costs fell by orders of magnitude (see the figure below^[23]). This provided the conditions for the capitalist world-system to transition to the next stage.

The decline of transport and communication costs relative to 1930

Sea freight corresponds to average international freight charges per tonne. Passenger air transport corresponds to average airline revenue per passenger-mile until 2000 spliced to US import air passenger fares afterwards. International calls correspond to cost of a three-minute call from New York to London.



Data source: Transaction Costs - OECD Economic Outlook (2007)

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3. The Transnational Industrial Capitalist Stage

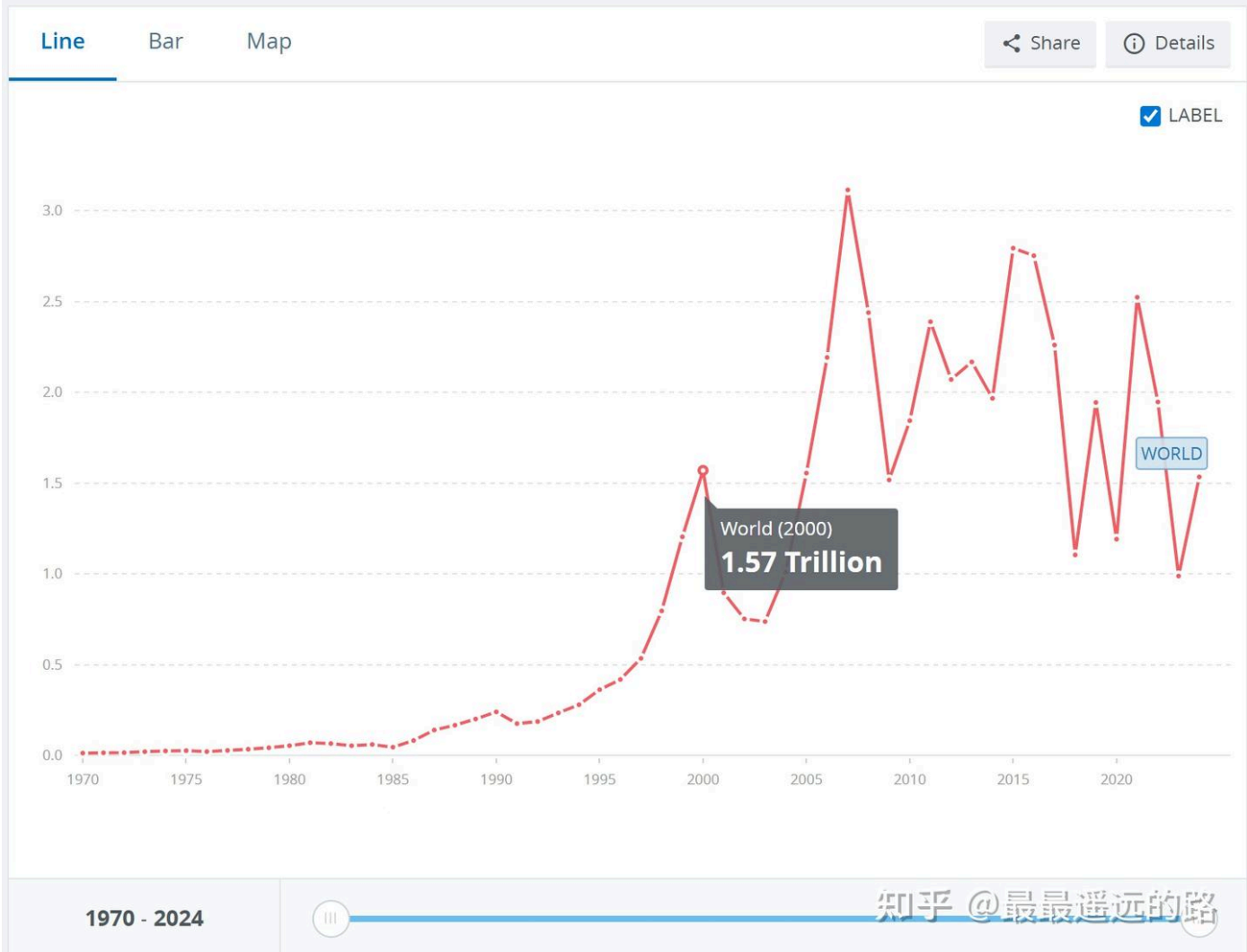
In the post-war international capitalist system, although production was still mainly carried out within nation-states, a transnational regime was established in finance and trade. In finance, the Bretton Woods system was established, providing the monetary foundation for global trade and capital flows. In trade, the General Agreement on Tariffs and Trade (GATT, the WTO's predecessor) was established, promoting trade liberalisation. These relations of production and political-institutional constructions laid the foundation for production networks to leap across national borders and expand globally. Once capital accumulation within the nation-state met difficulties or even crisis, the transformation from national industrial capital to transnational industrial capital began. From the 1970s into the 1990s, the transition from national industrial capitalism to global industrial capitalism was completed. This transformation can be seen in several key indicators.

First, the explosive growth of FDI. As shown below^[24], global FDI in 1970 was only \$12 billion, little changed from the 1950s. But by 1980 it had increased to over \$50 billion, by 1990 to over \$200 billion, and in 2000, the year China joined the WTO, FDI reached \$1.57 trillion. In 2007, before the financial crisis, FDI exceeded \$3 trillion; although it has since fluctuated considerably, it has basically remained above \$1 trillion.

Foreign direct investment, net inflows (BoP, current US\$)

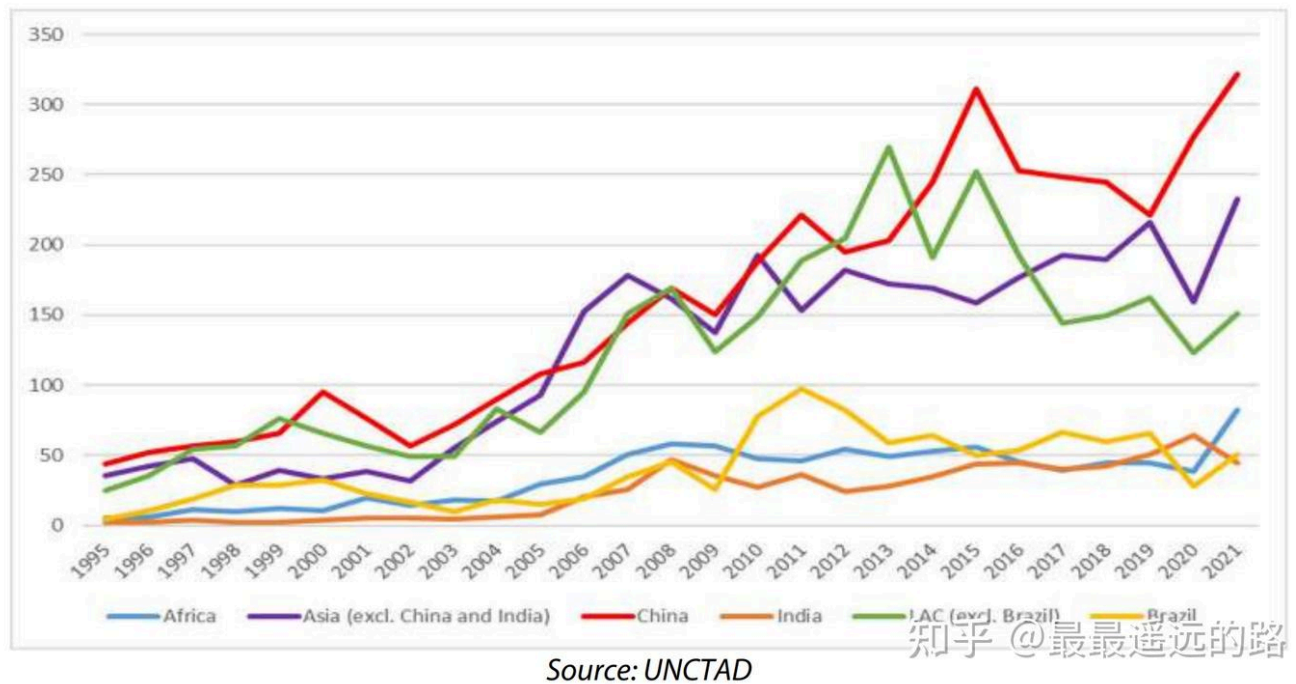
Balance of Payments database, International Monetary Fund (IMF), note: International Monetary Fund, Balance of Payments database, supplemented by data from the United Nations Conference on Trade and Development and official national sources.; UN Conference on Trade and Development (UNCTAD); Official national sources

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Moreover, FDI flowed not only between the developed countries, but on a large scale into the developing countries. As shown below^[25], since the mid-1990s China has received over \$50 billion of FDI a year, at its peak more than \$300 billion. India has also received over \$50 billion a year since the 2010s. Africa's FDI inflows since the 2010s have likewise reached a scale of about \$50 billion.

Figure 3: FDI inflows by host regions over time (US\$ Billion)



The continuous increase of FDI drove the growth of trade. The chart below shows the trend of world trade as a share of GDP since 1960^[26]. This value rose from 26 percent to close to 60 percent.

Trade (% of GDP)

Country official statistics, National Statistical Organizations and/or Central Banks; National Accounts data files, Organisation for Economic Co-operation and Development (OECD); Staff estimates, World Bank (WB)

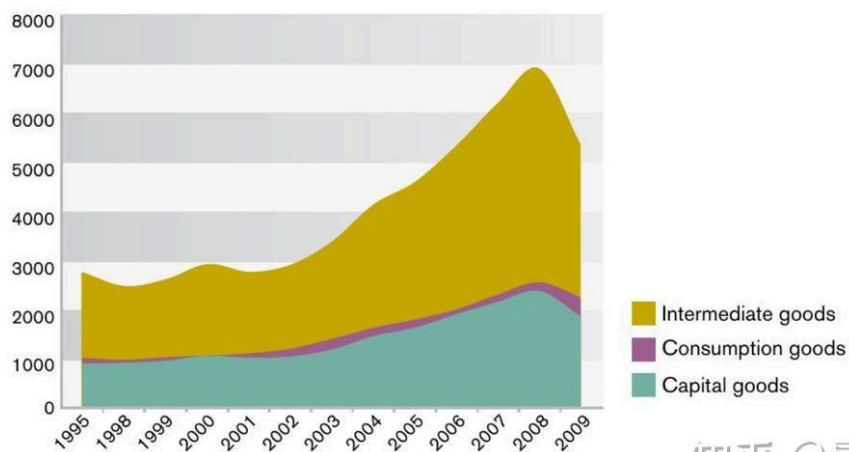
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Another indicator is the rising share of intermediate goods in trade. According to the WTO data below^[27], since 1995 the share of intermediate goods in total trade has greatly increased.

Figure 3

World non-fuel merchandise exports by type of good, 1995-2009 (in billions of US\$)



Sources: UN Comtrade Database and WTO estimates.

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The chart below shows the detailed imports and exports of the principal industrial countries in 2000 and 2008^[28]. One can see that in both imports and exports, intermediate goods account for a large share. Some countries (such as Japan, South Korea, Europe, and America) export more intermediate goods and fewer finished goods, while others (China, India, ASEAN) likewise export more intermediate goods than finished goods. One can also see that China's share of finished-goods exports is falling while its intermediate-goods exports are rising, and this trend continues. Overall, a cross-national division of labour within products has formed among different countries. These are global value chains (GVCs); the production systems that carry the global value chains are called global production networks, and both are currently hot topics in academia.

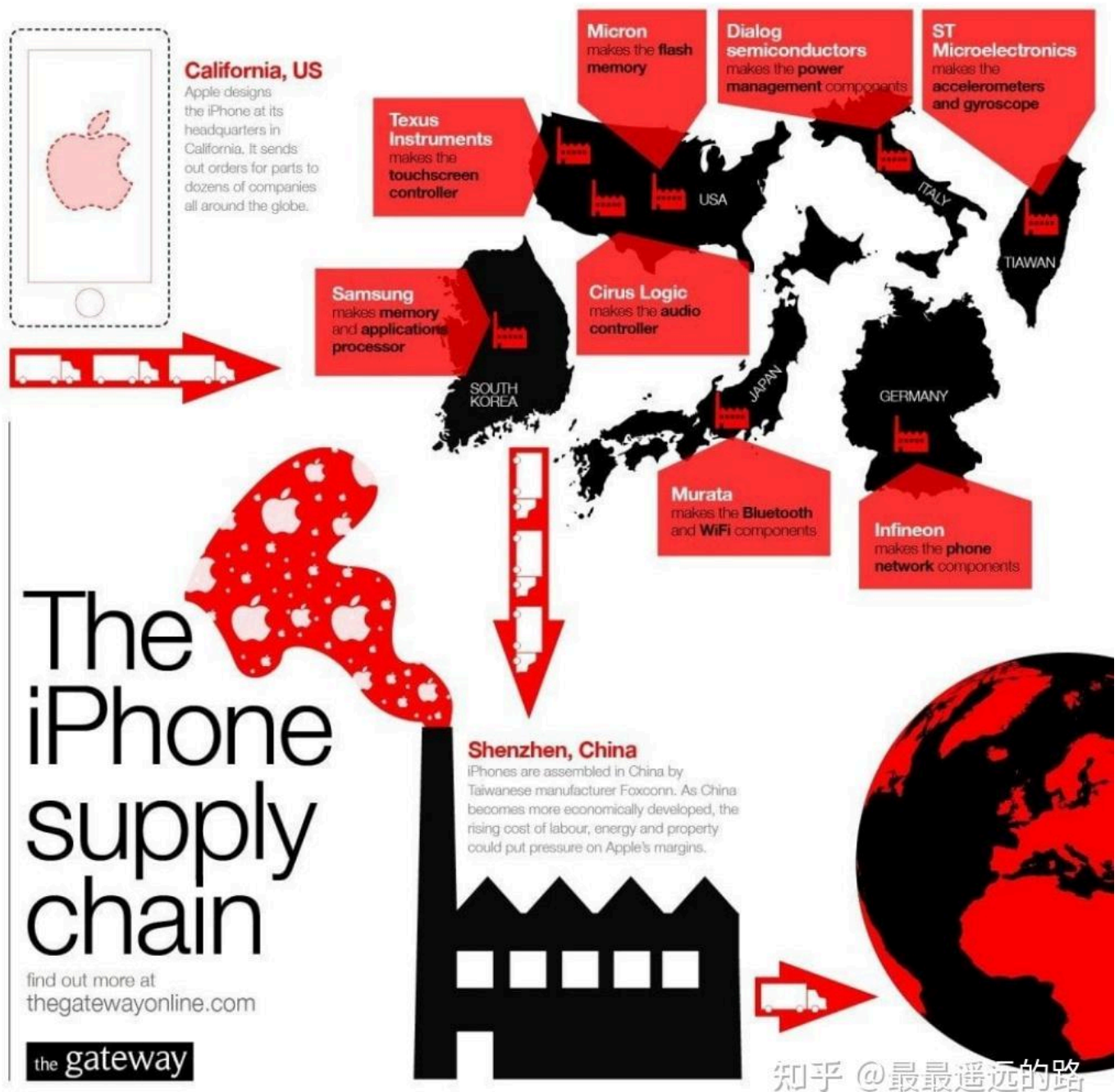
Table 3: Importance of Primary, Intermediate and Final Goods in the World Trade**(Total of Primary, Intermediate and Final Goods = 100%)**

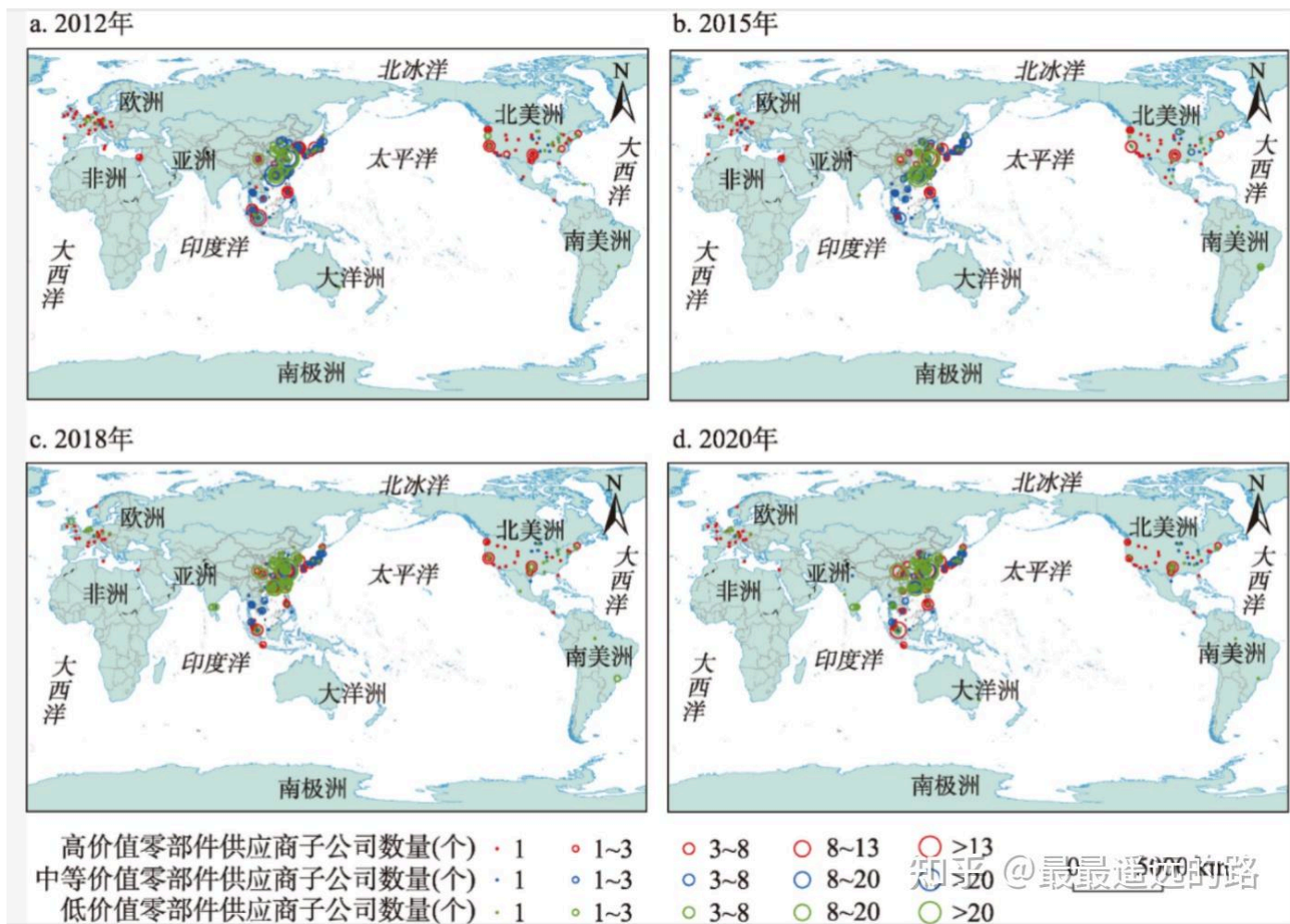
		Partner: World							
		2000				2008			
Flow	Reporter	Primary Goods	Intermediate Goods	Final Goods	Total	Primary Goods	Intermediate Goods	Final Goods	Total
Export	ASEAN7	6.1	58.7	35.1	100	9.3	60.6	30.1	100
	China	3.7	35.2	61.2	100	1.3	42.8	55.9	100
	Hong Kong	1.5	45.7	52.8	100	1.6	56.9	41.5	100
	Japan	0.3	52.9	46.8	100	1.1	54.7	44.2	100
	South Korea	0.3	59.8	39.8	100	0.5	58.6	40.9	100
	India	4.1	54.1	41.8	100	7.9	61.7	30.4	100
	Australia & NZ	32.6	38.7	28.7	100	47.1	31.4	21.5	100
	EAST ASIA	4.0	50.9	45.1	100	5.4	51.7	42.8	100
	EU27	3.9	49.6	46.6	100	4.2	50.8	45.0	100
	USA	4.9	57.3	37.8	100	9.1	53.6	37.3	100
	ROW	32.5	38.9	28.6	100	41.4	37.9	20.7	100
	World	10.2	48.6	41.2	100	14.2	48.1	37.7	100
Import	ASEAN7	9.2	66.4	24.4	100	14.1	63.8	22.1	100
	China	13.7	64.4	21.9	100	25.7	52.6	21.7	100
	Hong Kong	1.9	52.4	45.6	100	2.3	59.3	38.4	100
	Japan	20.2	40.3	39.5	100	32.8	40.5	26.7	100
	South Korea	22.9	54.9	22.2	100	29.5	51.2	19.3	100
	India	46.2	42.4	11.4	100	38.4	44.0	17.5	100
	Australia & NZ	7.7	40.6	51.7	100	10.0	40.6	49.3	100
	EAST ASIA	14.3	53.9	31.8	100	22.7	52.1	25.2	100
	EU27	10.3	47.3	42.5	100	14.1	46.7	39.1	100
	USA	10.1	40.6	49.3	100	20.3	37.1	42.6	100
	ROW	9.2	51.7	39.1	100	11.4	48.6	40.0	100
	World	11.0	48.3	40.6	100	16.8	47.2	36.0	100

Note: EAST ASIA includes ASEAN7 (Cambodia, Indonesia, Malaysia, Philippines, Singapore, Thailand, Vietnam), China, Hong Kong, Japan, South Korea, India, Australia and New Zealand.

Source: UN Comtrade (accessed on December 16, 2010).

To understand the global production network, the iPhone is the most typical example. The iPhone is designed in America; its component makers are spread across America, South Korea, Japan, Europe, and mainland China and Taiwan; and final assembly takes place in China or India. To make one iPhone, vast quantities of components and materials flow back and forth among countries. As the two charts below show:

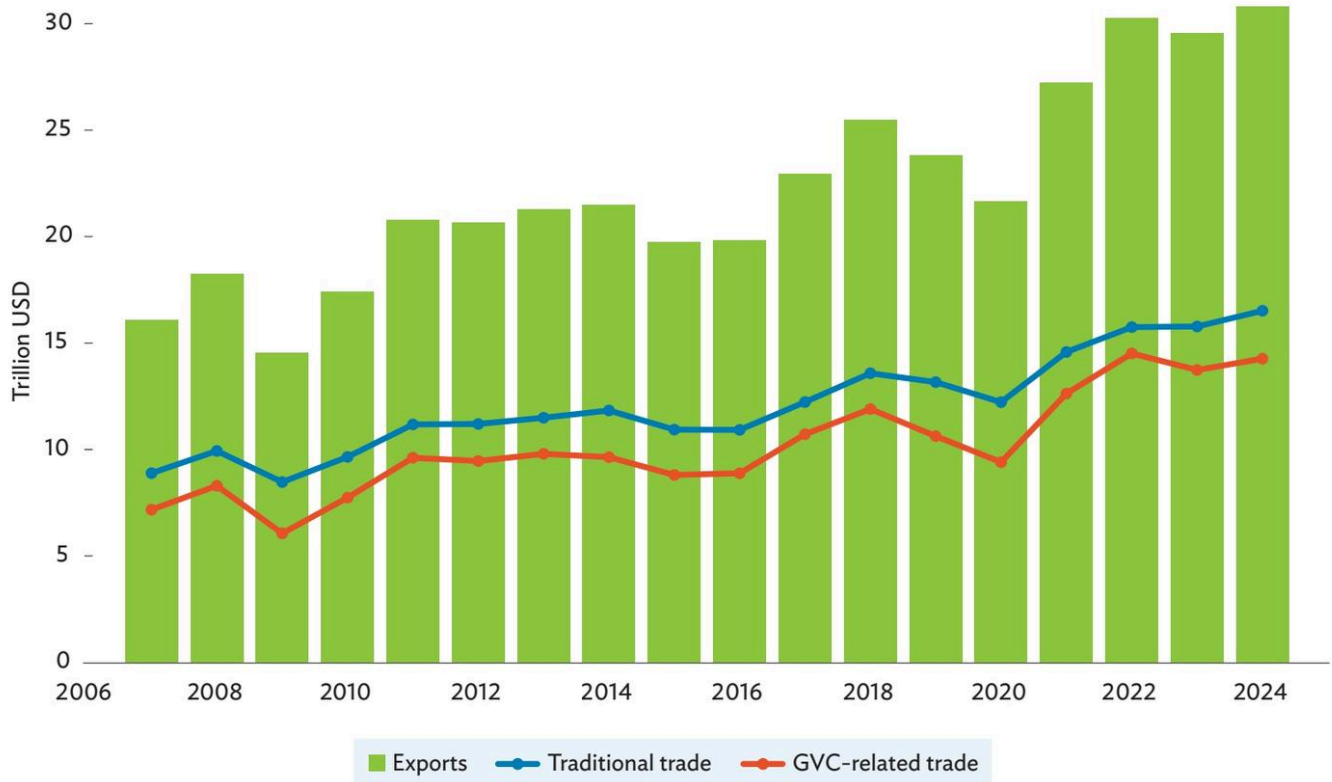




The WTO's 2025 report^[29] shows this very clearly in the China rare-earth controls and Nexperia semiconductor episodes. The report notes that GVC trade as a share of total trade has climbed year by year; at present, owing to the international situation, it has stalled somewhat, but on the whole it remains highly resilient, falling only from a 2022 peak of 48 percent to 46.3 percent in 2024.

Figure 1.1: Decomposition of World Gross Exports, 2007-2024

Global trade increased after the COVID-19 pandemic, but the gap between traditional and GVC-related trade widened.

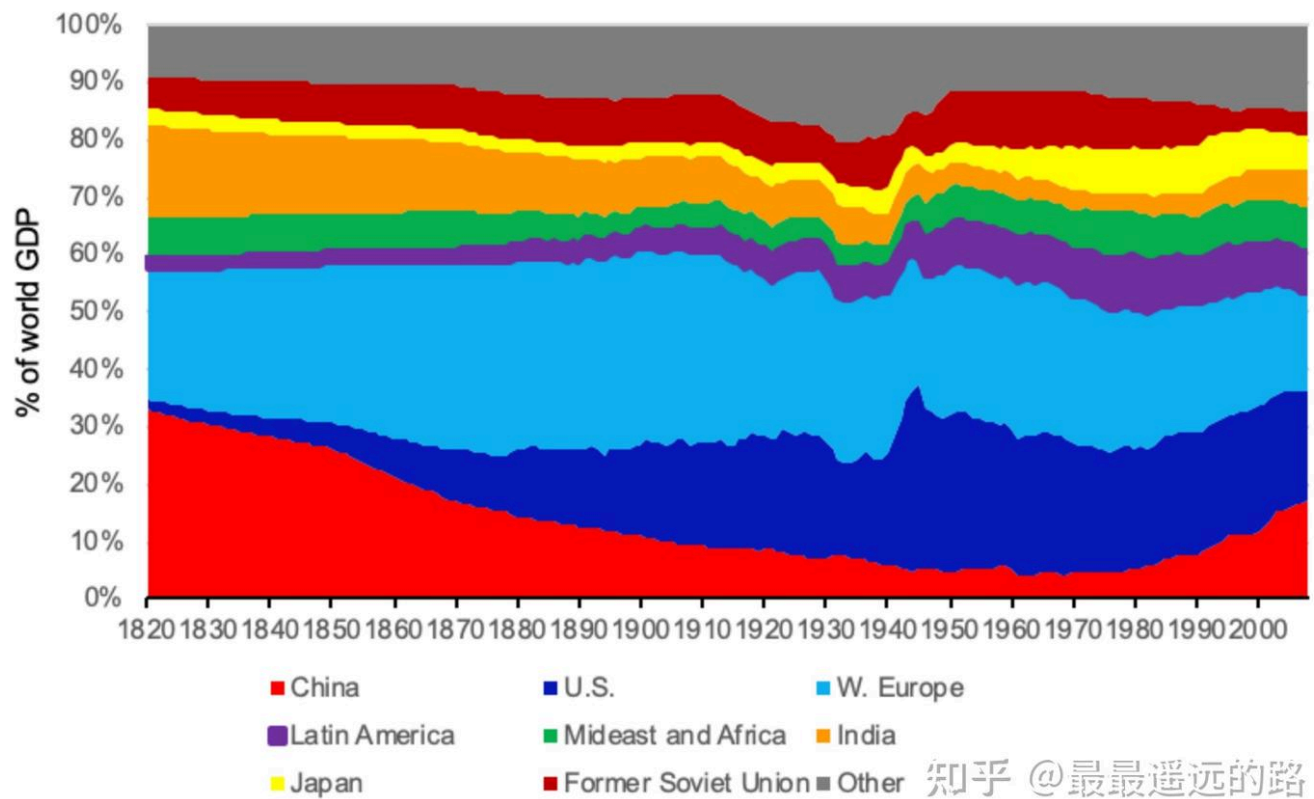


Note: Gross exports decomposition follows the framework of Borin and Mancini (2019). Traditional trade refers to the value of gross exports corresponding to purely bilateral trade. GVC-related trade refers to the value of gross exports involving multiple border crossings.

Source: Asian Development Bank Multiregional Input-Output Database; and Asian Development Bank estimates.

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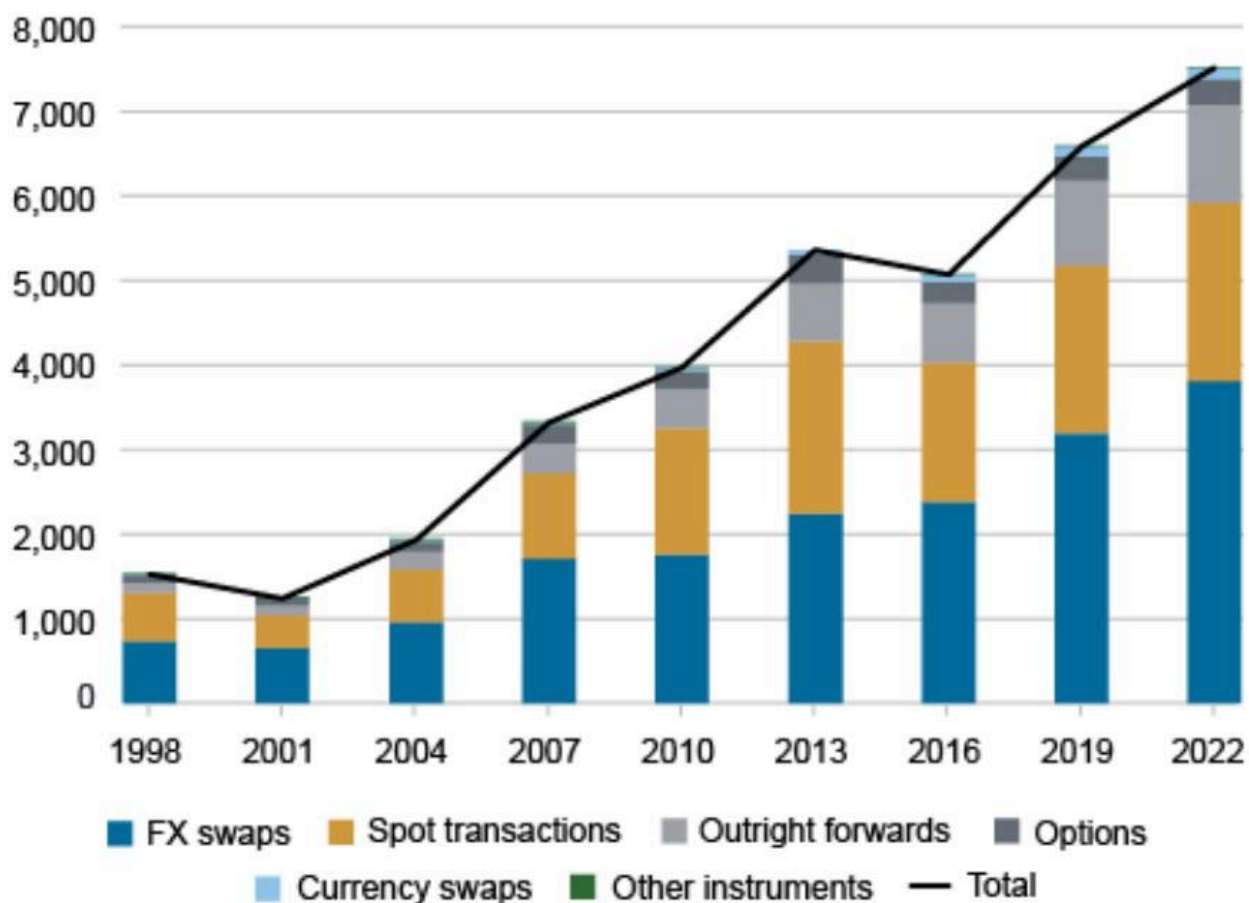
The centre's continuous capital export to the periphery, subjectively to satisfy the centre's need for capital accumulation, objectively — since the space for capital's self-expansion moved to the periphery — caused the great development of industrial capitalism in the peripheral countries. As shown below^[30], at the beginning of the second stage of the capitalist world-system the GDP share of Europe and America was lower than that of China and India; by the 1940s the advanced countries — Europe, America, and Japan — accounted for more than half of world GDP, and an even higher share if measured by industrial output. But by the third stage of the global capitalist system, the GDP share of China, India, and other regions had risen rapidly, and they had in effect become the centre of global capitalist accumulation.



The globalisation of production further pushed the globalisation of finance. The global foreign-exchange market grew from \$80 billion in 1980^[31] to about \$8 trillion in 2022^[32], with daily trading volume equivalent to about 7 percent of global annual GDP — showing that on the basis of globalized production a globalized market has already emerged; the Eurodollar market expanded rapidly from \$900 billion in 1982. Some scholars infer that the Eurodollar market has reached \$16 trillion^[33], while others calculate that it had already reached \$57 trillion by 2018^[34].

The FX Market Continues to Grow Substantially

Billions of U.S. dollars



Source: BIS Triennial Central Bank Survey.

Notes: The data do not include transaction in exchange-traded FX instruments, such as FX futures and related options. The exchange-traded FX sector is small compared to the overall FX market.

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In the first stage of the capitalist world-system, the centre's control over the periphery was exercised through the establishment of colonies and semi-colonies — direct or indirect rule over the peripheral regions. But after the Second World War, a large number of colonies and semi-colonies won national independence, and the competition of the socialist world-system led by the Soviet Union made it impossible for the imperialist countries at the centre to squeeze surplus through colonisation. Hence in this new world-system, the centre countries no longer exercise direct political control; instead, through financial control, they absorb surplus from the periphery more covertly.

Once the centre's capital export beyond the field of primary products, it means capital can expand continuously in the periphery, absorbing large numbers of rural labourers and continuously forming

fixed capital. This means that between the bourgeoisies of the centre and the periphery, cooperation rather than struggle became possible. This cooperation not only solved the problem of capital's self-expansion; since wages in the periphery were ultra-low, it offered the centre's capital the chance of extra surplus value. It inevitably promoted large-scale capital inflow and industrial transfer, greatly accelerating the economic development of the industrialising countries. And the developed countries, being technologically advanced, saw the high-end enterprises of the industrial chains expand their markets as capital moved abroad. So the developed and developing countries — the centre and the periphery — could form a unity of opposites between the high end and the middle-low end of the industrial chains. In this respect, Lee Kuan Yew of Singapore^[35] and other politicians, as well as the older generation of Chinese politicians, had a very clear understanding:

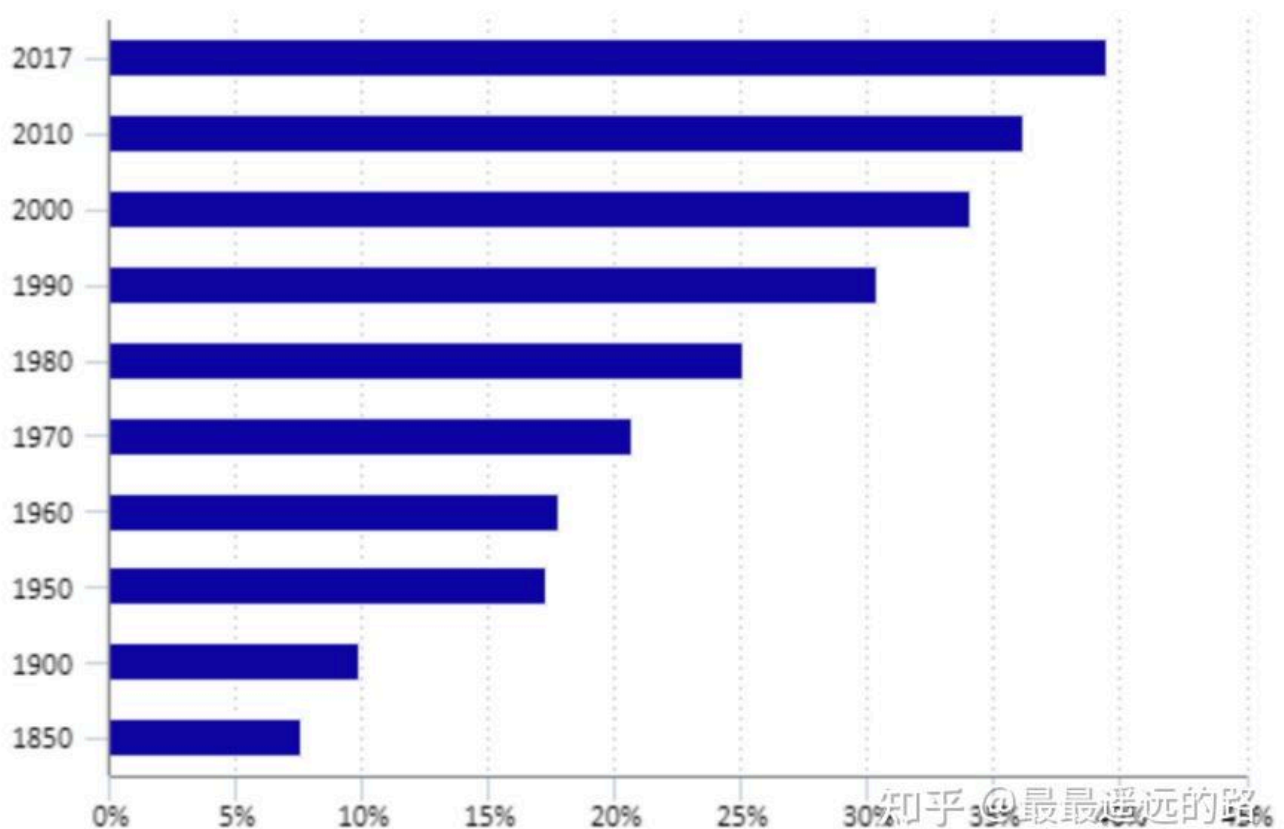
The truly great problems of today's world, the global strategic problems, are two: the problem of peace and the problem of economics, or development. The peace problem is the East-West problem; the development problem is the North-South problem. In a word, the four characters: East, West, North, South. The North-South problem is the core. The European, American, and Japanese countries are developed; continuing to develop, what problem do they face? Your capital must find outlets, your trade must find outlets, your markets must find outlets; without solving this problem, your development will always be restricted... It is hard to say that the continued development of this population of 1.1 to 1.2 billion can be built on the continued poverty of a population of over three billion... Most countries remain in a state of extreme poverty; if their economic problems are not solved, neither the development of the Third World nor the continued development of the developed countries will be easy... Some developed countries worry that if China develops and its exports increase, will it affect the commodity exports of the developed countries? There is indeed a problem of competition. But the developed countries lead in technology and have plenty of high-grade goods — what is there to fear! In short, if the South does not develop properly, the outlets for the North's capital and commodities will be very limited; if the South remains poor, the North may have no way out. So I believe the positive attitude of Japanese business circles toward developing Sino-Japanese economic and technological cooperation is a decision of strategic vision. — Deng Xiaoping, part of his remarks at a meeting with the Japanese delegation of the Chamber of Commerce and Industry, "Peace and Development Are the Two Major Problems of the Contemporary World," Selected Works of Deng Xiaoping, Vol. 3, 1985

In China we have seen how fast comprehensive industrialisation can go when the bourgeoisies of the centre and the periphery combine. But this cooperative relationship runs into contradictions when the peripheral country completes its industrialisation and begins to move toward the high end of the industrial chains — that is, when it leaps from the periphery toward the centre. If capital expands fast enough in the periphery, and the country leaping toward the centre has a small population, the current system can accommodate it without major adjustment. But if the country trying to enter the centre is too large (like China), the current world-system must undergo a major readjustment. This

adjustment, like the "adjustment" of colonial competition in the second stage of the world-system, may have to be accomplished through war. On the question of war, readers may refer to *The Logic of War and Its Prospects*.

In the third stage of the capitalist world-system, the centre of capital accumulation has moved to the periphery, while the centre regions have been transformed into financial centres and R&D centres, with actual production activity greatly reduced. Fixed-capital investment in the centre has gradually stagnated, a great many factories have closed, and the proportion of white-collar university graduates in the labour force has risen sharply^[36]. The whole world-system has in effect split into the following: The centre (developed countries) is dominated by high-end manufacturing, services, and finance; the semi-periphery (newly industrialised countries) by middle- and low-end manufacturing; and the periphery (agricultural countries) by agriculture and mining.

Figure 2.2A Employment by Occupation as a Share of Total U.S. Employment, 1850–2017 (Professionals and Managers)



The global accumulation of capital constantly demands that agricultural countries become middle- and low-end industrial countries, and that middle- and low-end industrial countries become high-end industrial and financial countries. If this transformation cannot be achieved, the country is abandoned by the global value chains controlled by transnational capital, and the whole society falls

into crisis or long-term economic stagnation. The first case is called the "failed state," common in Africa. The second is also called the "middle-income trap," found in parts of Southeast Asia and Latin America. The whole process will end only when the world's agricultural population has basically been absorbed by capital.

In the next part, we will analyse in further depth the internal structure of the transnational industrial capitalist world-system.

Notes

[1] First, the share of industry (secondary sector) value added in Jiangnan's GDP (33%) was much higher than in Holland's (29%), while the share of services value added in Holland's GDP (46%) was much higher than in Jiangnan's (36%). The share of industrial workers in employment was also much higher in Jiangnan (56%) than in Holland (26%), while the share of service workers in employment was much higher in Holland (31%) than in Jiangnan (16%). In other words, in the early nineteenth century, industry's position in Jiangnan's economy was far higher than in Holland's, while services' position in Holland's economy was far higher than in Jiangnan's. Second, the share of the agricultural population in employment was lower in Jiangnan (27%) than in Holland (43%), while the two regions' urbanisation levels were fairly close. This is because Jiangnan's rural industrial population accounted for three-quarters of its industrial population. Some scholars suspect that some rural regions of Ming-Qing China may have been "over-industrialised." If this "over-industrialisation" really existed, then Jiangnan in the 1820s was the principal region. — "Similarities and Differences: A Comparative Study of the Economic Histories of Jiangnan and Holland in the Early 19th Century"

中文原文：第一，工业（第二产业）增加值在江南 GDP 中所占的比重（33%）大大高于在荷兰 GDP 中的比重（29%），而服务产业增加值在荷兰 GDP 中所占比重（46%）则大大高于在江南 GDP 中的比重（36%）。工业人口在就业人口中的比重，江南（56%）也大大高于在荷兰的比重（26%），而服务产业人口在就业人口中的比重，荷兰（31%）则大大高于江南（16%）。换言之，在 19 世纪初期，工业在江南经济中的地位，远高于在荷兰经济中的地位，而服务产业在荷兰经济中的地位，则远高于在江南经济中的地位。第二，农业人口在就业人口中的比重，江南（27%）低于荷兰（43%），而在城市化水平方面，两个地区却比较接近。这是因为江南农村工业人口占了工业人口的 3/4。一些学者怀疑明清中国一些农村地区可能已“过度工业化”了。如果这个“过度工业化”真的存在的话，那么 19 世纪 20 年代的江南就是最主要的地区。——《相似与相异：19 世纪初期江南与荷兰经济史比较研究》

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中文原文: 1964 TPC-1, Hawaii-Japan, TRANS PACIFIC CABLE 1 On 18 June 1964 the first trans Pacific telephone cable was completed. The 5282 nm section from Hawaii to Japan, via Midway, Wake and Guam, was laid by CS Long Lines during the first five months of that year. At Hawaii it linked up with COMPAC and HAW 1.

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中文原文: The results are as shown below as of end-2018: USD57 trillion, nearly three times the size of the US economy before it was hit by the COVID-19 virus. Even if this measure is not complete, it underlines the scale of the market. 截至 2018

年底的结果如下：5.7 万亿美元，几乎是 COVID-19 病毒袭击前美国经济规模的近三倍。即使这一衡量标准并不完整，它也突显了该市场的规模。

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